
UNIT -1

MANAGEMENT – Introduction

In the modern times one of the most important human activities is managing group of people. Ever since people began forming groups to accomplish aims they could not achieve as individuals, managing has been essential to ensure the coordination of individual efforts. As society has come to rely increasingly on group effort and as many organized groups have become large the task of managers has been rising in importance.

Definitions:

According to Lawrence “Management is the accomplishment of results through the efforts of other people.”

According to Harold Koontz and Weihrich, “Management is the process of designing and maintaining an environment in which individuals, working together in groups, accomplish efficiently selected aims.”

According to Henri Fayol, "to manage is to forecast and to plan, to organise, to command, to co-ordinate and to control."

According to F.W. Taylor “Management is knowing exactly what you want men to do and then seeing that they do it in the best and cheapest way”.

In fact, Management includes a wide variety of activities that no single definition can capture all the facets of management, given its dynamic nature. However, the definition given by James A.F.Stoner covers all the important facets of management.

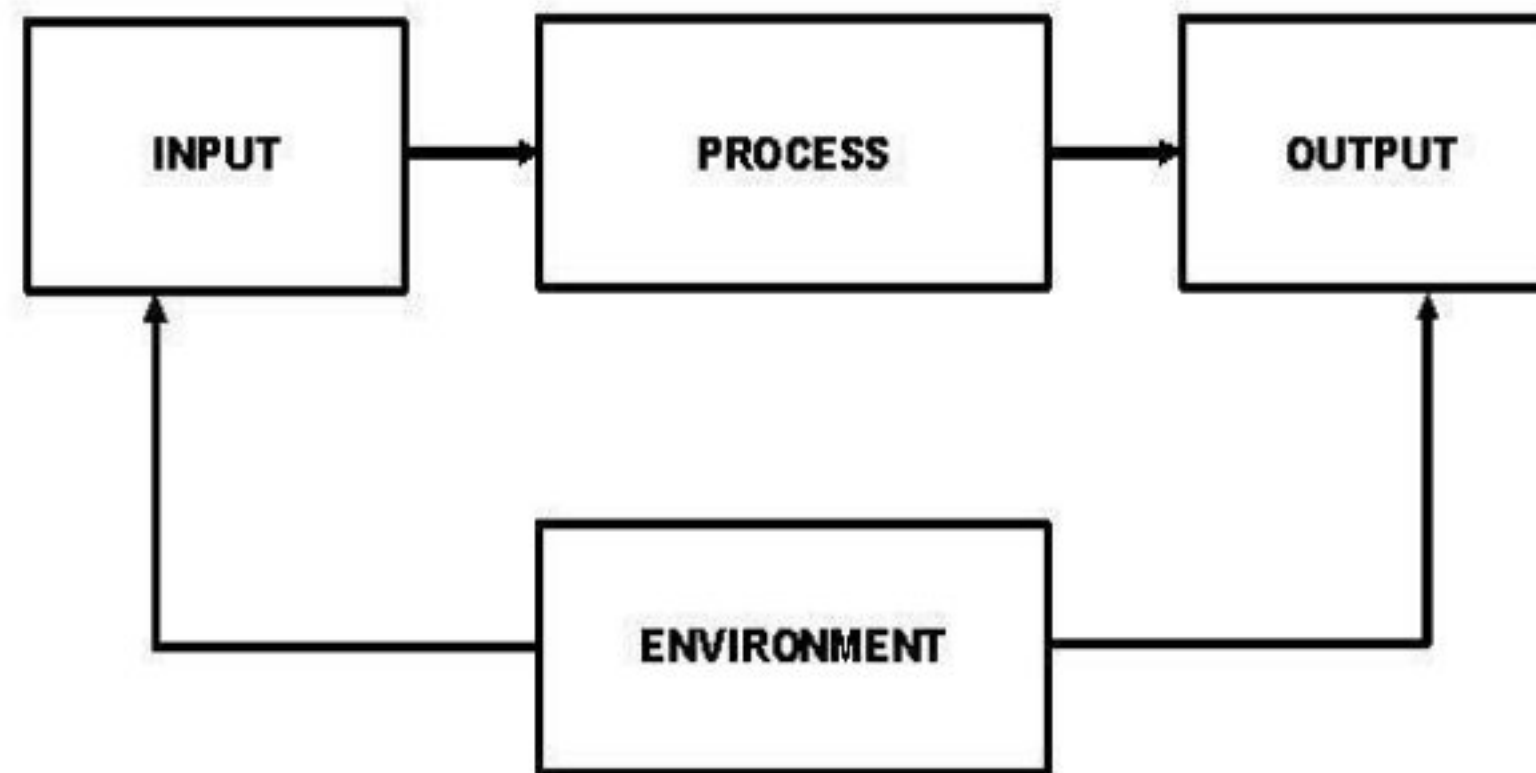
According to him, “Management is the process of Planning, Organising, Leading and Controlling the efforts of organization members and of using all other organizational resources to achieve stated organizational goals”.

From the above definitions the features of management can be listed as

1. Management is a Social Process or concerned with the efforts of a group.
2. Management is a Purposeful activity.
3. Management ensures optimum utilization of scarce resources.
4. Management is a Unique and Composite process.
5. Management is a Universal activity.
6. Management involves Decision Making.
7. Coordination is the essence of management.

8. Management is Dynamic not rigid

9. Management is a Profession.



The output of the firm may be a physical product (or) service depending upon the nature of business activity. With the above considerations the term ‘Management’ is used in practically in four different senses and their functions are also different to each sense. The Senses are :

- As a Body of Knowledge
 - As a Process
 - As a Co-ordination of resources
 - As a Body of Personnel
- **Body of Knowledge:** Management is a distinct discipline, which deals with techniques, principles and skills required to manage business enterprises.
 - **Process :** Management is a activity involving such functions as Planning, Organising , Directing, Controlling etc.,
 - **Co-ordination of Resources:** Management is an activity concerned with the Co-ordination of physical, human and financial resources.

As a Body of Personnel: Management is the body of individuals who manage the affairs of an Enterprise. With all the above, it will be definitely says that management is such an important activity that without it, human and material resources will remain as resources and can never get converted into production. So, it is called as ‘Social Process’.

Basically, there are 5 concepts of management. They are:

1. Functional Concept

Management basically is the task of planning, coordinating, motivating and controlling the efforts of other towards the goals and objectives of the organization. According to this concept, management is what a manager does (planning, executing, and controlling)

2. Human Relation Concept

According to this concept, Management is the art of getting things done through and with people in organized groups. It is the art of creating an environment in which people can perform and individuals could cooperate towards attaining of group goals. It is an art of removing blanks to such performance a way of optimizing efficiency in reaching goals.

3. Leadership and Decision Making Concept

According to this concept, management is the art and science of preparing, organizing, directing human efforts applied to control the forces and utilize the materials of nature for the benefits to man.

4. Productive Concept

According to this concept, management may be defined as the art of securing maximum prosperity with a minimum effort so as to secure maximum prosperity and happiness for both employer and employee and provide best services thereby.

5. Integration Concept

According to this concept, management is the coordination of human and material resources towards the achievement of organizational objectives as well as the organization of the productive functions essential for achieving stated or accepted economic goal. These above definition of management, given by different writers and authorities, are found giving different senses. Virtually, the five concepts are found developed by the authorities emphasizing in different aspects. However, it has been realized by many that it will not be fair to define management based upon any one aspect. Management can be taken as process-managerial process or social process either engage in planning, organizing, staffing, directing and controlling or mobilizing the group activities to achieve the corporate goals. To overcome the limitations of the above concepts, Theo Haimann, the leading management expert has explained three basic concepts of management as under:

a. Management as a process:-

Management is a process. It includes the process of planning, controlling, coordinating, motivating, and staffing. These processes are the series of interrelated sequential functions. Processes refer to accomplish these mentioned activities. Management is the efforts of organizational members to accomplish the organizer's objectives. This concept is very simple because

- i. It is very simple and very easy to understand
- ii. It indicates functions of management as a process
- iii. It recognizes management as a universal process

b. Management as a discipline

the term management is used as a subject of instructions. It is a specific branch of knowledge which is studied in campuses and schools like economics, sociology, mathematics, political science etc. the scholars of management have found that the information and management are used in practical life for better functioning. The scope of management is being increased day to day as a discipline

c. Management as a noun:

The word management itself refers as a noun. There are many kinds of employees in an organization. some people are involved in managerial function and some are involved in operating functions. The individuals who manage the organization and departments are managers. As a noun, the term management is used as single name of managers, board of directors, managing directors; departmental managers etc. are included in management. Thus, Peter Drucker the leading management expert explained the meaning and concept of management.

NATURE OF MANAGEMENT –Art, Science and Profession

Management is treated as Art, Science and Profession because it has some characteristics of an art, a science and a profession. Art is personal skill. It is created by nature. It does not possess by all. Art is bringing about desired results with the help of skills. Management is one of the most creative arts. It requires a lot of knowledge.

Management is an Art because:

1. It is creative
2. It involves use of skill.
3. It involves use of technical knowhow.
4. It is directed towards getting results.
5. It is personalized.

Management as Science: To gain a correct perspective as Management is a Science (or) Art. Any branch of Science like Physics, Engineering, Chemistry etc., should fulfill the following conditions :

- The existence of a systematic body of knowledge encompassing a wide array of principles.
- The principles have to be evolved on the constant enquiry and examination.
- The principles have to be easy for verification and they must universally applicable.

By Looking from this angle, management as a discipline fulfills the above criterion. Management has its own principles with systematic body of knowledge. The application of these principles helps any practicing manager to achieve the desired goals. Further,

management is a dynamic subject. It has drawn heavily from economics, psychology, sociology, engineering, and mathematics and so on. Though management, considered its subject matter and practical utility, may be considered as 'Science' but, with the following reasons it cannot be viewed as an 'exact science', but an 'Inexact Science'

- As per the definition of Management, the things done through people. Compared to the other inputs, people are not standard. They may be changed from time to time in practical.
- The behaviour of Human being cannot be accurately predicted. Hence, readymade and standard solutions cannot be prescribed.
- Changes in the environment may affect the plans and render them ineffective.
- The organization influences the environment by its several decisions include technological, economic, Socio-cultural and political factors. The whole things is so complex that however effective the plans.

So, that too many complexities and uncertainties render management an 'Intact Science'

Management as Profession

Profession is an occupation carried by professionals like doctor, lawyer, architect, chartered accountant, cost accountant etc. It involves knowledge and application of it. Management as a profession is modern concept different from traditional one.

Characteristics of a Profession:-

1. Systematic body of knowledge:-

Professionals require expert knowledge in a particular discipline. E.g. a doctor requires knowledge of medicine; Chartered Accountant needs to have knowledge of Income Tax.

2. Formal Education:-

A true professional needs to have formal education from the institution. E.g. Lawyer needs degree of law.

3. Social Responsibility:-

The professional are socially responsible while handling their tasks and responsibilities. Their aim should not be only profit maximization, but they have to follow certain rules for social responsibilities.

4. Independent Office:-

Normally professionals practice from their independent office.

5. Specialisation:-

The professionals may specialise in a particular field. E.g. heart specialist, child specialist and ENT surgeon.

6. Fees:-

The professionals required license or a permission to practice. E.g. A doctor requires license to practice as a medical practitioner.

The modern concept of Management has developed as a profession because

1. Organization is a systematic body of knowledge.
2. Formal methods of acquiring knowledge and skill with the help of different institution.
3. Rise in professional management consultant.
4. Need for honesty.

IMPORTANCE OF MANAGEMENT

1. Management is goal oriented:

Management is concern with achievement of specific goals. It is always directed towards achievement of objectives. The success of management is measured by the extent to which objectives are achieved.

2. Management is associated with group efforts:

The business comes into existence with certain objectives which are to be achieved by a group and not by one person alone. Management gets things done by, with and through the efforts of group members. It co-ordinates the activities and actions of its members towards a common goal.

3. Management is intangible:

It is an unseen force, its presence can be evidence by the result of its efforts up to date order but they generally remain unnoticed, Whereas mismanagement is quickly noticed.

4. Management is an activity and not a person or group of person:

Management is not people or not a certain class but it is the activity, it is the process of planning, organizing, directing and controlling to achieve the objectives of the organization.

5. Management is situational:

Management does not advice best way of doing things. Effective management is always situational. A manager has to apply principles, approaches and techniques of management after taking into consideration the existing situations.

6. Management is universal:

Most of the principles and techniques of management are universal in nature. They can be applied to government organization, military, educational institutes, religious institutes etc. They provide working guidelines which can be adopted according to situations.

7. Management is concern with people:

Since management involves getting things done through others only human being performed this activity with the help of planning and control. The element man can not be separated from the management.

8. Management is the combination of art, science and profession:

Management makes use of science as well as art. It is science because it collects knowledge with the methods and data, analyzes and measures it and decision is taken with the help of experiment. It is a systematic body of knowledge. Art means application of knowledge for solving various problems. In modern times there is separation of ownership and management, so professional experts are appointed.

FUNCTIONS OF MANAGEMENT

The process approach in Management is wider. It is because the approach lays emphasis on what a Manager does. Generally, a manager of an organization performs a series of functions. The number of functions as well as the terminology used to described them are not like. So, it is not possible to classify the management functions. However , some eminent management thinkers include Henry Fayol , Newman, Koontz and O'Donnell classify the functions into Planning, Organising, Staffing, Directing and Controlling.

Planning: Planning in simple, is looking ahead. It is preparing for the future. Planning makes the things to happen. It decides the objectives and formulating policies and procedures to achieve them. Effective Planning provide answers to questions like – What to do? How to do? Who is to do and when to do? Systematic Planning helps in facing the uncertainties of future with less difficulty. It helps in making things happen in the expected way. Therefore it is needless to say that the absence of Planning, things are left to chance. For that, planning precedes all the other managerial functions.

Organizing: Organizations achieve objectives by using physical and human resources. The managerial function of Organising makes the perform of the tasks easy. It involves is designing the structure and facilities the achievements of goals. A large organization with huge markets needs a different structure compared to a small organization. Similarly, the structure of an organization may be different in environment also. Generally, Organizing involves:

- Determination of activities required to achieve goals.
- Grouping of these activities into departments.
- Assignment of such groups of activities to a manager.
- Provision for Co-operation in the Organization.

Staffing: It involves managing the various positions of the organization,. It includes manpower, planning, recruitment and selection of the right people, training and developing them, deciding financial management, appraising their performance periodically. There is a debate whether staffing function is to be performed by all managers in the organization (or) handled by personnel department alone. However, in general, some process of staffing are performed by Personal Department only. For example, recruitment and selection, training, fixation of salaries etc., are taken by personnel department and performance appraisal on the other hand may be done by all managers.

Directing: Once plans are made and organization is created, the focus shifts to the achievement of objectives. This function is called by various names: Directing, Leading, Motivating and so on. It basically involves directing (or) leading the activities of the people. The manager directs the activities of his subordinates and by helping them perform it to the best of their ability.

Controlling: Planning and Controlling are two closely interrelated functions. In that, Plans specify the objectives to be achieved, Control as a managerial function facilitates to know whether the actual performance with the Plans.

It is wrong to think that the functions discussed above are separate and independent and they are discharged in a sequence one after the another. All the functions are intertwined and are performed simultaneously. No one function can be performed independently without involving other functions. Thus, management is a composite process.

MANAGEMENT THOUGHTS

Management is studied in business academics since earlier times and it is considered as an integral part to understand business operations. People have been changing and redesigning organizations for centuries. Though the 20th century is noticeable in history as an 'Era of scientific management', still it does not indicate that management tactics were not used in yester years. Many studies indicated that Management theory evolved with "scientific" and "bureaucratic" management that used measurement, procedures and routines as the basis for operations. Firms developed hierarchies to apply standardized rules to the place of work and penalized labour for violating rules. With the "human relations" movement, companies emphasized individual workers. Modern management theories, including system theory, contingency theory and chaos theory, focus on the whole organization, with employees as a key part of the system.

The evaluation of management can be categorized in to different parts:

- Pre-Scientific Management Era (before 1880),

- Classical management Era (1880-1930),
- Neo-classical Management Era (1930-1950),
- Modern Management era (1950-on word).

Early Management Thought

The period of 1700 to 1800 emphasizes the industrial revolution and the factory system highlights the industrial revolution and the importance of direction as a managerial purpose. Thus, the development of management theory can be recognized as the way people have struggled with relationships at particular times in olden periods. Many economic theorists during this period described the notion of management. Adam Smith and James Watt have been recognized as two theorists who launched the world toward industrialization. Adam Smith brought about the revolution in financial thought and James Watt's steam engine provided cheaper power that revolutionized English commerce and industry.

EVOLUTION OF MANAGEMENT THOUGHT

Name and Year of Major Work	Major Contribution to Management
Frederic W Taylor Shop Management (1903) Principles Of Scientific Management (1911) Testimony Before The Special House Committee (1912)	Scientific Management Acknowledged As The “Father Of Scientific Management”. His Primary Concern Was To Increase Productivity Through Greater Efficiency In Production And Increased Pay For Workers, Through The Application Of The Scientific Method. His Principles Focused Using Science, Creating Group Harmony And Cooperation, Achieving Maximum Output, And Developing Workers.
Henry L Gantt (1901)	Called For Scientific Selection Of Workers And ‘Harmonious Cooperation’ Between Labor And Management. Developed The Gantt Chart. Stressed The Need For Training.
Frank And Lillian Gilbreth (1900)	Frank Is Known Primarily For His Time And Motion Studies. Lillian, An Industrial Psychologist, Focused On The Human Aspects Of Work And The Understanding Of Workers Personalities And Needs.
Modern Operational Management Theory	

Henry Fayol (1916)	He Is The Father Of Modern Management Theory. Divided Industrial Activities In To Six Groups: Technical, Commercial, Financial, Security, Accounting, And Managerial. Recognized The Need For Teaching Management. Formulated Fourteen Principles Of Management, Such As Authority And Responsibility, Unity Of Command, Scalar Chain, And Espirit De Corps (Strength Of Group)
Behavioral Science	
Hugo Munsterberg (1912) Walter Dill Scott (1901, 1911)	Application Of Psychology To Industry And Management. Application Of Psychology To Advertising, Marketing, And Personal.
Max Weber(Translations 1946, 1947)	Theory Of Bureaucracy
Vilfredo Pareto (1896-1917)	Referred To As The Father Of The Social System Approach To Organization And Management.
Elton Mayo	Famous Studies At The Hawthorne Plant Of The Western Electric Company.
F J Roethlis Berger (1933)	Influence Of Social Attitudes And Relationships Of Work Groups On Performance.
System Theory	
Chester Bernard The Functions of the Executive (1938)	The Task Of Managers Is To Maintain A System Of Cooperative Effort In A Formal Organization. He Suggested A Comprehensive Social Systems Approach To Management.
Modern Management	
Peter F Drucker (1947)	Very Prolific Writer On Many General Management Topics.
W Edwards Deming	Introduced Quality Control In Japan
Laurence Peter (1969)	Observed That Eventually People Get Promoted To A Level Where They Are In Competent.
William Ouchi (1981)	Discussed Selected Japanese Managerial Practices Adapted In The U.S Environment.

Thomas Peter And Robert Waterman (1982)	Identified Characteristics Of Companies They Considered Excellent.
Source: Tata Mcgraw Hill Harold Koontz – Essentials Of Management	

SCIENTIFIC MANAGEMENT:

Scientific Management is the application of Scientific principles to the practice of management. Mechanization, Automation and the highly competitive nature of the economy have made the art of management a difficult and complicated affair. A scientific approach is required to the problems of industrial management. An American Engineer F.W. Taylor, who has develop a new technique of management, which came to be known as ‘ Scientific Management ‘ (or) ‘ Taylor System of Management’ . While working as an Engineer in Bethlehem steel company in U.S.A, he made miracles in the production levels in USA.

Workers were not properly selected and trained. Tools are also not suited properly. For all that reasons, Taylor realized that if science could be used to solve the problems of production it could as well be used to solve the problems of management. He advocated scientific investigation for the solution of managerial problems. By systematic observation, using scientific methods, he evolved definite laws, rules and principles to govern each and every activity.

The term ‘Scientific Management ‘was defined in different ways. According to F.W.Taylor “Knowing exactly what you want men to do and seeing that they do it in the best and cheapest way”.

According to Peter Ducker, “The operational study of work, the analysis of work into its simplest elements and the systematic improvements of the workers performance of each element. “

The above definitions make it clear that Scientific Management involves a systematic direction on simplification and improvement of working methods. Scientific Management is both a philosophy and practice. As a philosophy, it implies an objective and open mined approach towards problems of industrial management. As a practice, it means a set of techniques which are meant to increase the efficiency of plant or any organization.

Aims of Scientific Management: The aim of Scientific Management is to eliminate unnecessarily use of men, materials and machines through the application of Scientific Methods. With all these implementations they reduce cost, maximize production and ensure higher wages to workers, greater profits to management and fair prices to customers.

PRINCIPLES / ELEMENTS OF SCIENTIFIC MANAGEMENT

- **Scientific Approach:** In this, every problem affecting the management should be thoroughly investigated by scientific observation, experiment, Analysis and interpretation. It shorts the attitude of ‘I think ‘should be replaced by the attitude of ‘I know’.
- **Standardization & Simplification:** Standardization means the process of establishing norms to bring about uniformity. Simplification means of the elimination of super flow varieties and sizes. It leads to economy in the use of machines and tools and reduces the cost of production. Standardization and Simplification are one of the vital media of Scientific Management.
- **Costing and Cost Control:** Costing (or) Cost Accountancy is one of the essential aspects of Scientific Management. It creates a sense of Cost consciousness at all levels of management. It help s the management in Planning and Decision – making. Cost Accounting should be developed as an integral part of the overall system of Scientific Management.
- **Scientific Selection and Training of Workers:** This management lays particular emphasis on the selection of the right man for the right job. This would eliminate waste, improve efficiency of performance and reduce monotony in work. Vocational Training, Guidance and Training are the major tools of scientific approach to labour efficiency.
- **Mental Revolution:** Scientific management is considered with the foundation of Mental Revolution. The essence of Scientific Management is complete mental revolution in the attitudes of management and workers towards one another. Both should realize that the prosperity and mutual co-operation takes the organization ahead in the competitive world. It should replace its attitude of bossism by the spirit of sympathy and understanding.
- With all these above reasons and principles of Scientific Management is not only developed a rational approach to solving organizational problems but prepares the way for the professionalization of management ultimately.

ADMINISTRATIVE MANAGEMENT THEORY - HENRI FAYOL

Henry Fayol has been considered as the real father of modern management. He was a French industrialist and graduated as a mining engineer in 1860. In 1908, Fayol contributed his famous “functional approach” to the management literature. Fayol’s writings were first published in 1908 in French, but up to 1918, it was not translated into English. His ideas were accepted after his death in 1925. Henry Fayol has written a book for his contribution in which

he has explained the problems managing & organization from top management point of view. He has used the term administration instead of management.

Fayol found that activities of industries should be divided into 6 groups i.e.

1. Technical (production)
2. Commercial (buying, selling and exchange)
3. Financial (optimum use of capital)
4. Security (protection of property)
5. Accounting (including statistics)
6. Managerial (all functions of management)

Fayol also stressed that managers should possess physical, mental, moral, educational and technical qualities to conduct operations of a business enterprise.

While giving management principles Fayol has emphasized on two things: -

- i. The principles of management can be followed in every organization.
- ii. These principles are not fixed. They are flexible.

Fayal developed fourteen (14) of the management principles, which become more effective through formal training in them. These principles were explained in a book general industrial Management published in 1916.

FAYOL'S PRINCIPLES OF MANAGEMENT:

1. Division of work: Division of work or specialization alone can give maximum productivity & efficiency. Both technical & managerial Activities can be performed in the best manner only through division of labor & specialization.
2. Authority & Responsibility: The right to give order is called authority. The obligation to accomplish is called responsibility. Authority & Responsibility are the two sides of the management coin. They exist together. They are complementary & mutually interdependent.
3. Discipline: The objectives, rules & regulations, the policies & procedures must be honored by each member of an organization. There must be clear & fair agreement on the rules & objectives, on the policies & procedures. There must be penalties (punishment) for non-obedience or indiscipline. No organization can work smoothly without discipline - preferably voluntary discipline.
4. Unity of Command: In order to avoid any possible confusion & conflict, each member of an organization must receive orders & instructions only from one superior (boss).
5. Unity of Direction: All members of an organization must work together to accomplish common objectives.

6. Subordination of individual Interests to Group Interest: This is also called principle of co-operation. Each shall work for all & all for each. General or common interest must be supreme in any joint enterprise.
7. Remuneration: Fair pay with non-financial rewards can act as the best incentive or motivator for good performance. Exploitation of employees in any manner must be eliminated. Sound scheme of remuneration includes adequate financial & nonfinancial incentives.
8. Centralization: There must be a good balance between centralization & decentralization of authority & power. Extreme centralization & decentralization must be avoided.
9. Scalar Chain: The unity of command brings about a chain or hierarchy of command linking all members of the organization from the top to the bottom. Scalar denotes steps.
10. Order: Fayol suggested that there is a place for everything. Order or system alone can create a sound organization & efficient management.
11. Equity: An organization consists of a group of people involved in joint effort. Hence, equity (i.e., justice) must be there. Without equity, we cannot have sustained & adequate joint collaboration.
12. Stability of Tenure of personnel: A person needs time to adjust himself with the new work & demonstrate efficiency in due course. Hence, employees & managers must have job security. Security of income & employment is a pre-requisite of sound organization & management.
13. Initiative: Creative thinking & capacity to take initiative can give us sound managerial planning & execution of predetermined plans.
14. Esprit of Co-operation: Esprit de corps is the foundation of a sound organization. Union is strength. But unity demands co-operation. Pride, loyalty & sense of belonging are responsible for good performance.

MOTIVATION

Motivation is the reason for people's actions, desires, and needs. Motivation is also one's direction to behavior, or what causes a person to want to repeat a behavior. A motive is what prompts the person to act in a certain way, or at least develop an inclination for specific behavior.

Maslow's Hierarchy of Needs

The Hierarchy of Needs theory was coined by psychologist Abraham Maslow in his 1943 paper "A Theory of Human Motivation".

The crux of the theory is that individuals' most basic needs must be met before they become motivated to achieve higher level needs.

The hierarchy is made up of 5 levels:

- 1. Physiological** – these needs must be met in order for a person to survive, such as food, water and shelter.
- 2. Safety** – including personal and financial security and health and wellbeing.
- 3. Love/belonging** – the need for friendships, relationships and family.
- 4. Esteem** – the need to feel confident and be respected by others.
- 5. Self-actualization** – the desire to achieve everything you possibly can and become the most that you can be.

According to the hierarchy of needs, you must be in good health, safe and secure with meaningful relationships and confidence before you are able to be the most that you can be.

Hertzberg's Two-Factor Theory

The Two-Factor Theory of motivation (otherwise known as dual-factor theory or motivation-hygiene theory) was developed by psychologist Frederick Herzberg in the 1950s.

Analyzing the responses of 200 accountants and engineers who were asked about their positive and negative feelings about their work, Herzberg found 2 factors that influence employee motivation and satisfaction...

- 1. Motivator factors** – Simply put, these are factors that lead to satisfaction and motivate employees to work harder. Examples might include enjoying your work, feeling recognised and career progression.
- 2. Hygiene factors** – These factors can lead to dissatisfaction and a lack of motivation if they are absent. Examples include salary, company policies, benefits, relationships with managers and co-workers.

According to Herzberg's findings, while motivator and hygiene factors both influenced motivation, they appeared to work completely independently of each other...

While motivator factors increased employee satisfaction and motivation, the absence of these factors didn't necessarily cause dissatisfaction. Likewise, the presence of hygiene factors didn't appear to increase satisfaction and motivation but their absence caused an increase in dissatisfaction.

IMPORTANCE OF MOTIVATION:

The need for and importance of motivation can be imbued with multiplicity of justifications as follows:

1. Organizations are run by people. Hence, managers cannot afford to avoid a concern with human behavior at work. This is because the motivated employees are more productive and quality-conscious than apathetic ones.
2. Motivation as a pervasive concept affects and is also affected by a host of factors in the organizational milieu. It enables managers to understand why people behave as they behave.
3. Organizational effectiveness becomes, to some extent, the question of management's ability to motivate its employees. Hence, an appreciation of motivation helps the managers how to motivate their employees.
4. Machines become necessary in case of complex technology. However, these remain inefficient vehicles of effective and efficient operations without man to operate them. Therefore, organisations need to have employees with required capability and willingness to use the advanced complex technology to achieve the organisational goal.
5. With the realization that organisations will run in more complex milieu in future, an increasing attention has been given to develop employees as future resources (a 'talent bank'). This facilitates the managers to draw upon them as and when organisations grow and develop.

The process of motivation is characterized by the following:-

Motivation is an Internal Feeling

Motivation is a psychological phenomenon on which generates in the mind of an individual the feeling that he lacks certain things and needs those things. Motivation is a force within an individual that drives him to behave in a certain way.

Motivation is related to Needs

Needs are deficiencies which are created whenever there is a physiological or psychological imbalance. In order to motivate a person, we have to understand his needs that call for satisfaction.

Motivation Produces Goal-Directed Behaviour

Goals are anything which will alleviate a need and reduce a drive. An individual's behavior is directed towards a goal.

Motivation can be either Positive or Negative

Positive or incentive motivation is generally based on reward. According to Flippo - "positive motivation is a process of attempting to influence others to do your will through the possibility of gain or reward".

Negative or fear motivation is based on force and fear. Fear causes persons to act in a certain way because they are afraid of the consequences if they don't.

Neo Classical Period:

Hawthorne Experiments

Elton Mayo can be called as the Founder of Human relations school. Mayo conducted experiments at the Department of Industrial research of Harvard. Mayo was of the opinion that an individual is not very important, his personality is important as a member of the group. The human relations movement was evolved during 1920's in the U.S.A. Elton Mayo (1880-1949) laid the foundations for the human relations approach. Hawthorne experiments were conducted from 1924 to 1932 at a plant of Western Electric company, Chicago was manufacturing Telephone System Bell. It employed 30,000 employees at the time of experiment. The experiment was conducted in 4 phases.

I] Illumination Experiment:

- (Physical, Conducting, Lighting Effect)

It was undertaken to find out how change in the level of light & physical factor affects production. Higher illumination will help in increasing the production; decrease in illumination will lead to decrease in production.

II] Relay - Assembly Room Test:

Under this study, two small groups of six female telephone relay assemblers were put in separate rooms under close observation and control. Frequent changes were made in working conditions such as working hours, rest periods, hot lunch etc. Over the two years period, it was concluded that social or human relationship among workers exercised greater influence on productivity of workers than working conditions. This special attention and treatment given to workers developed a sense of group pride and belongingness which motivated them to increase their performance.

III] Mass Interview Program:

During the course of experiment about 20,000 interviews were conducted from 1928 to 1930. For determination of employee's attitude towards company such as supervision, insurance plan, promotion, wages etc. & yes & no type of questions were asked. During the course of interview it was discovered that workers behaviour was influenced by group behavior.

The programme indicated that productivity can be increased if people allowed talking freely.

IV] Bank wiring observation room:

This experiment was carried from 1931 to 1932 with a view to analysis functioning of small group & its impact on individual behavior. The group was formed consisting of 14 male

members, 9 wire men & two inspectors. Hourly wage rate was based on average output of each worker & bonus was based on the productivity of group of workers. It was found that the group has established its own standards of output and social pressure was exercised.

The main conclusions of **Hawthorne Experiments** are as follows :

- 1) Social factor in output: Worker is influenced by social factor & the behavior within the group. Man is a social animal. Only monetary incentives are not sufficient to increase the production but non-monetary incentives will also help to increase the production. Means, behavior within the group will definitely increase the production. This acts as a motivating factor.
- 2) Group Influence: Worker forms a group in the organization means, they develop informal relationship. They try to change their behavior & manager is considered as a part & parcel for that group & not as a manager.
- 3) Leadership: Leadership is important for directing group behavior. But the formal relationship is not accepted by the workers. Informal relationship which is expressed in relay assembly test room & bank wiring observation room is lead to increase the efficiency of the workers.
- 4) Supervision: Supervision is important for determining efficiency of output but friendly supervision helps to increase the productivity of the workers in the organization.
- 5) Communication: In every organization communication is very important. Workers participation in the process of decision making helps in increasing the productivity. Workers must communicate freely with managers to explain their problem. Better understanding between manager & workers develops positive attitude

Theory X:

A manager who fits into the theory X group leans towards an organization climate of close controls centralized of the authorities, autocratic of the relationship & minimum participation in the decision making process. Such manager accepts certain assumptions. Theories X assumptions according to the Mc Gregor are.

1. The average person dislikes work & will avoid it as much as possible. .
2. Stemming from this, according to the theory X, most people have to be forced or threatened by the punishment to make the effort necessary to accomplish of the organizational goals.
3. The average individual is basically passive & therefore prefers to be directed, rather than to assume any risk or the responsibility.
4. Above all the else, Security is the important.

Theory Y:

A theory Y Manager operates with a different set of the assumptions regarding human motivation. This manager feels that an effective organizational climate has looser. More general vision of the greater decent realization of the authority less reliance on coercion & the control democratic leadership, style & more of the participation in the decision process. The assumptions Y theories are

1. Work is as natural as play or the rest therefore is not avoided.
2. Self-motivation and inherent of the satisfaction in work will be forth common in the situations where the individual is committed to the organizational goals. Hence, coercion is not the only form of the influence that can be used to motivate.
3. Commitment is a crucial factor in the motivation & it is a function of the rewards coming from it.
4. The average individual learns to accept & even proper environment.
5. Contrary to the stereotypes the ability to be creative & the innovation in the solution of the organization problem is widely, not narrowly, distributed in the population.

DECISION-MAKING

Decision-Making is an integral part of modern management. Essentially, Rational or sound decision making is taken as primary function of management. Every manager takes hundreds and hundreds of decisions subconsciously or consciously making it as the key component in the role of a manager. Decisions play important roles as they determine both organizational and managerial activities.

A decision can be defined as a course of action purposely chosen from a set of alternatives to achieve organizational or managerial objectives or goals. Decision making process is continuous and indispensable component of managing any organization or business activities. Decisions are made to sustain the activities of all business activities and organizational functioning.

Trewatha & Newport defines decision making process as follows: "Decision-making involves the selection of a course of action from among two or more possible alternatives in order to arrive at a solution for a given problem".

CHARACTERISTICS OF DECISION-MAKING

- Objectives must first be established
- Objectives must be classified and placed in order of importance
- Alternative actions must be developed
- The alternatives must be evaluated against all the objectives

- The alternative that is able to achieve all the objectives is the tentative decision
- The tentative decision is evaluated for more possible consequences
- The decisive actions are taken, and additional actions are taken to prevent any adverse consequences from becoming problems and starting both systems (problem analysis and decision-making) all over again
- There are steps that are generally followed that result in a decision model that can be used to determine an optimal production plan
- In a situation featuring conflict, role-playing may be helpful for predicting decisions to be made by involved parties

A lot of time is consumed while decisions are taken. In a management setting, decision cannot be taken abruptly. It should follow the steps such as

1. Defining the problem
2. Gathering information and collecting data
3. Developing and weighing the options
4. Choosing best possible option
5. Plan and execute
6. Take follow up action

5 ELEMENTS OF THE DECISION SITUATION:

1. The Decision Makers
2. Goals to be served
3. Relevant Alternatives
4. Ordering of Alternatives
5. Choice of Alternatives

DECISION MAKING PROCESS:

Decision making steps this model depicts are as follows:

1. Identify an existing problem
2. List possible alternatives for solving the problem
3. Select the most beneficial of these alternatives.
4. Implement the selected alternative.
5. Gather feedback to find out if the implemented alternative is solving the identified problem.

ORGANIZATIONAL STRUCTURE

Organizational structure is used to develop how groups and individuals are arranged or departmentalized to help meet an organization's goals. It defines a reporting structure, jobs,

management and responsibilities for each role. Designing an organizational structure requires consideration of an organization's values, financial and business goals. It should allow for growth for the organization and the ability to add additional jobs or departments.

1. Define business units or departments. Each business unit should have similar goals and responsibilities that can be overseen and directed by one or several managers. The business units or departments will then align to assist in creating an appropriate organizational structure. Depending on which type of organizational structure is used, departments may align laterally with other departments or one may oversee another.

2. Determine which type of organizational structure best fits your business needs. The several types of organizational structure ensure an organization can successfully function with its reporting structure, expand if necessary and successfully meet its goals. For example, if your organization is small, it may simply require the organizational structure be broken into departments, such as production, human resources and finance. Your organization's business type, units and how it operates will determine which type of organizational structure to choose.

3. Define the executive and management teams. Executives and managers are responsible for ensuring each business unit meets the organization's goals. This may include one or several top executives to oversee the entire organization and managers to direct each business unit within the organizational structure. the organization may require one supervisor to oversee all operations, or several supervisors to direct each business unit, ultimately reporting to a top executive or owner.

4. Establish performance metrics and management. When the organizational structure is determined, job descriptions can be clearly defined and where each job fits in the hierarchy. Each job description should reflect the competencies required to do the job and the expectations of each job to meet the organization's goals. After each job within the structure is defined, management should be defined based on the responsibilities of each job.

PRINCIPLES OF ORGANIZING

The organizing process can be done efficiently if the managers have certain guidelines so that they can take decisions and can act. To organize in an effective manner, the following principles of organization can be used by a manager.

Principle of Specialization

According to the principle, the whole work of a concern should be divided amongst the subordinates on the basis of qualifications, abilities and skills. It is through division of work specialization can be achieved which results in effective organization.

Principle of Functional Definition

According to this principle, all the functions in a concern should be completely and clearly defined to the managers and subordinates. This can be done by clearly defining the duties, responsibilities, authority and relationships of people towards each other. Clarifications in authority-responsibility relationships help in achieving co-ordination and thereby organization can take place effectively. For example, the primary functions of production, marketing and finance and the authority responsibility relationships in these departments should be clearly defined to every person attached to that department. Clarification in the authority-responsibility relationship helps in efficient organization.

Principles of Span of Control/Supervision

According to this principle, span of control is a span of supervision which depicts the number of employees that can be handled and controlled effectively by a single manager. According to this principle, a manager should be able to handle what number of employees under him should be decided. This decision can be taken by choosing either from a wide or narrow span. There are two types of span of control:-

a. Wide span of control- It is one in which a manager can supervise and control effectively a large group of persons at one time. The features of this span are:-

- i. Less overhead cost of supervision
- ii. Prompt response from the employees
- iii. Better communication
- iv. Better supervision
- v. Better co-ordination
- vi. Suitable for repetitive jobs

According to this span, one manager can effectively and efficiently handle a large number of subordinates at one time.

b. Narrow span of control- According to this span, the work and authority is divided amongst many subordinates and a manager doesn't supervise and control a very big group of people under him. The manager according to a narrow span supervises a selected number of employees at one time. The features are:-

- i. Work which requires tight control and supervision, for example, handicrafts, ivory work, etc. which requires craftsmanship, there narrow span is more helpful.
- ii. Co-ordination is difficult to be achieved.
- iii. Communication gaps can come.
- iv. Messages can be distorted.
- v. Specialization work can be achieved.

Principle of Scalar Chain

Scalar chain is a chain of command or authority which flows from top to bottom. With a chain of authority available, wastages of resources are minimized, communication is affected, overlapping of work is avoided and easy organization takes place. A scalar chain of command facilitates work flow in an organization which helps in achievement of effective results. As the authority flows from top to bottom, it clarifies the authority positions to managers at all level and that facilitates effective organization.

Principle of Unity of Command

It implies one subordinate-one superior relationship. Every subordinate is answerable and accountable to one boss at one time. This helps in avoiding communication gaps and feedback and response is prompt. Unity of command also helps in effective combination of resources, that is, physical, financial resources which helps in easy co-ordination and, therefore, effective organization.

Management Levels: An Overview

Most organizations have three management levels:

- Low-level managers;
- Middle-level managers; and
- Top-level managers.

These managers are classified in a hierarchy of authority, and perform different tasks. In many organizations, the number of managers in every level resembles a pyramid.

Below, you'll find the specifications of each level's different responsibilities and their likely job titles.

Top-level managers

The board of directors, president, vice-president, and CEO are all examples of top-level managers.

These managers are responsible for controlling and overseeing the entire organization. They develop goals, strategic plans, company policies, and make decisions on the direction of the business.

In addition, top-level managers play a significant role in the mobilization of outside resources. Top-level managers are accountable to the shareholders and general public.

Middle-level managers

General managers, branch managers, and department managers are all examples of middle-level managers. They are accountable to the top management for their department's function.

Middle-level managers devote more time to organizational and directional functions than top-level managers. Their roles can be emphasized as:

- Executing organizational plans in conformance with the company's policies and the objectives of the top management;
- Defining and discussing information and policies from top management to lower management; and most importantly
- Inspiring and providing guidance to low-level managers towards better performance.

Some of their functions are as follows:

- Designing and implementing effective group and intergroup work and information systems;
- Defining and monitoring group-level performance indicators;
- Diagnosing and resolving problems within and among work groups;
- Designing and implementing reward systems supporting cooperative behavior.

Low-level managers

Supervisors, section leads, and foremen are examples of low-level management titles. These managers focus on controlling and directing.

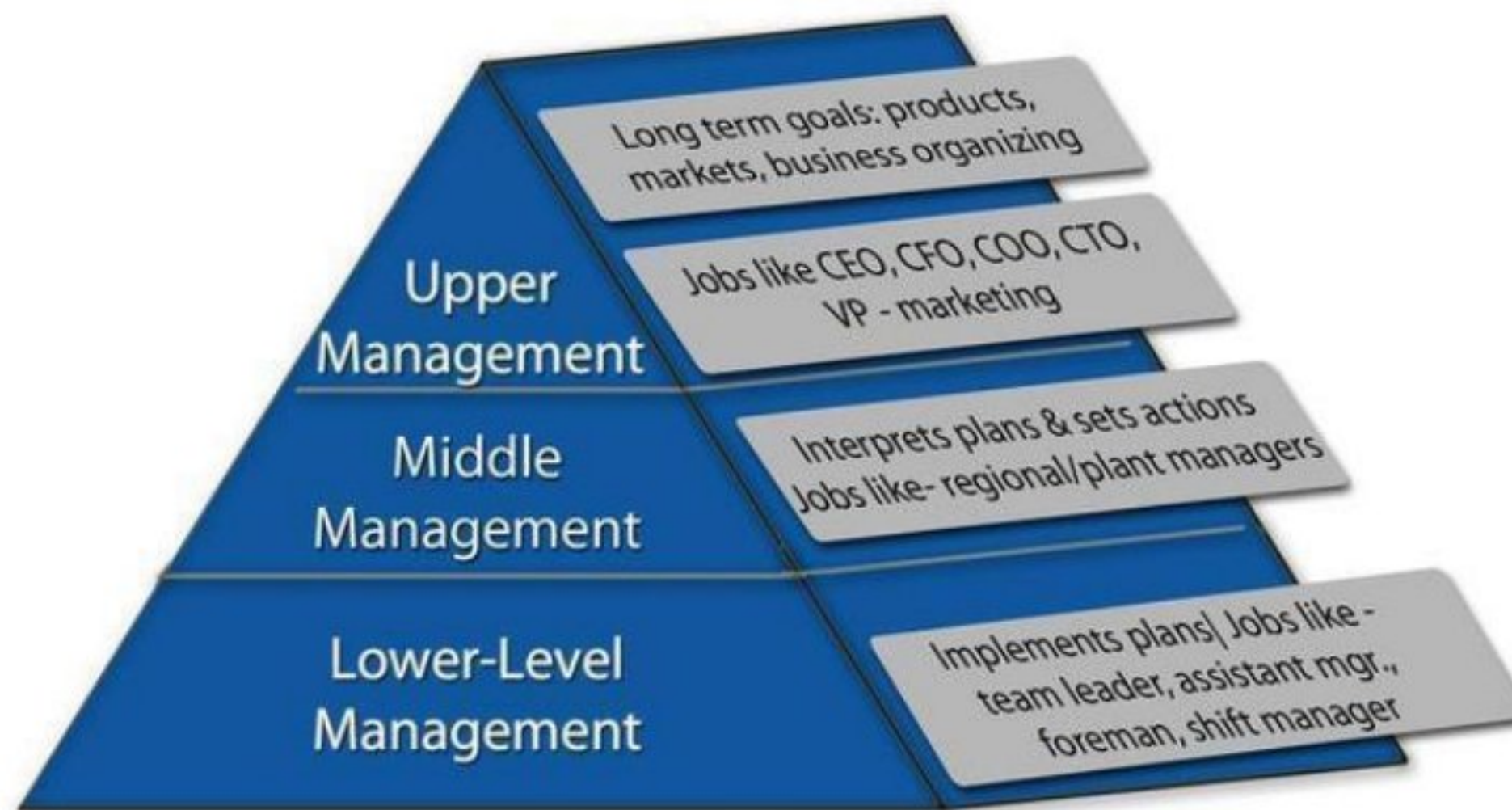
Low-level managers usually have the responsibility of:

- Assigning employees tasks;
- Guiding and supervising employees on day-to-day activities;
- Ensuring the quality and quantity of production;
- Making recommendations and suggestions; and
- Upchanneling employee problems.

Also referred to as first-level managers, low-level managers are role models for employees.

These managers provide:

- Basic supervision;
- Motivation;
- Career planning;
- Performance feedback; and
- Staff supervision.



Management Levels: Hierarchical view of management in organizations

Organizational structure

An organizational structure defines how activities such as task allocation, coordination and supervision are directed toward the achievement of organizational aims. Organizations need to be efficient, flexible, innovative and caring in order to achieve a sustainable competitive advantage. Organizational structure can also be considered as the viewing glass or perspective through which individuals see their organization and its environment.

Organizations are a variant of clustered entities.

An organization can be structured in many different ways, depending on its objectives. The structure of an organization will determine the modes in which it operates and performs.

Organizational structure allows the expressed allocation of responsibilities for different functions and processes to different entities such as the branch, department, workgroup, and individual.

Organizational structure affects organizational action in two ways:

1. It provides the foundation on which standard operating procedures and routines rest.
2. It determines which individuals get to participate in which decision-making processes, and thus to what extent their views shape the organization's actions.

5 MAIN TYPES OF ORGANISATION STRUCTURE

The types are: 1. Line Organization

2. Line and Staff Organization

3. Functional Organization

4. Project Organization

5. Matrix Organization

1. Line Organisation:

Line organisation is the simplest and oldest form of organisation structure. It is called as military or departmental or scalar type of organization. Under this system, authority flows directly and vertically from the top of the managerial hierarchy 'down to different levels of managers and subordinates and down to the operative level of workers.

Line organisation clearly identifies authority, responsibility and accountability at each level. The personnel in Line organization are directly involved in achieving the objectives of the organization.

The line organisation structure is given below:

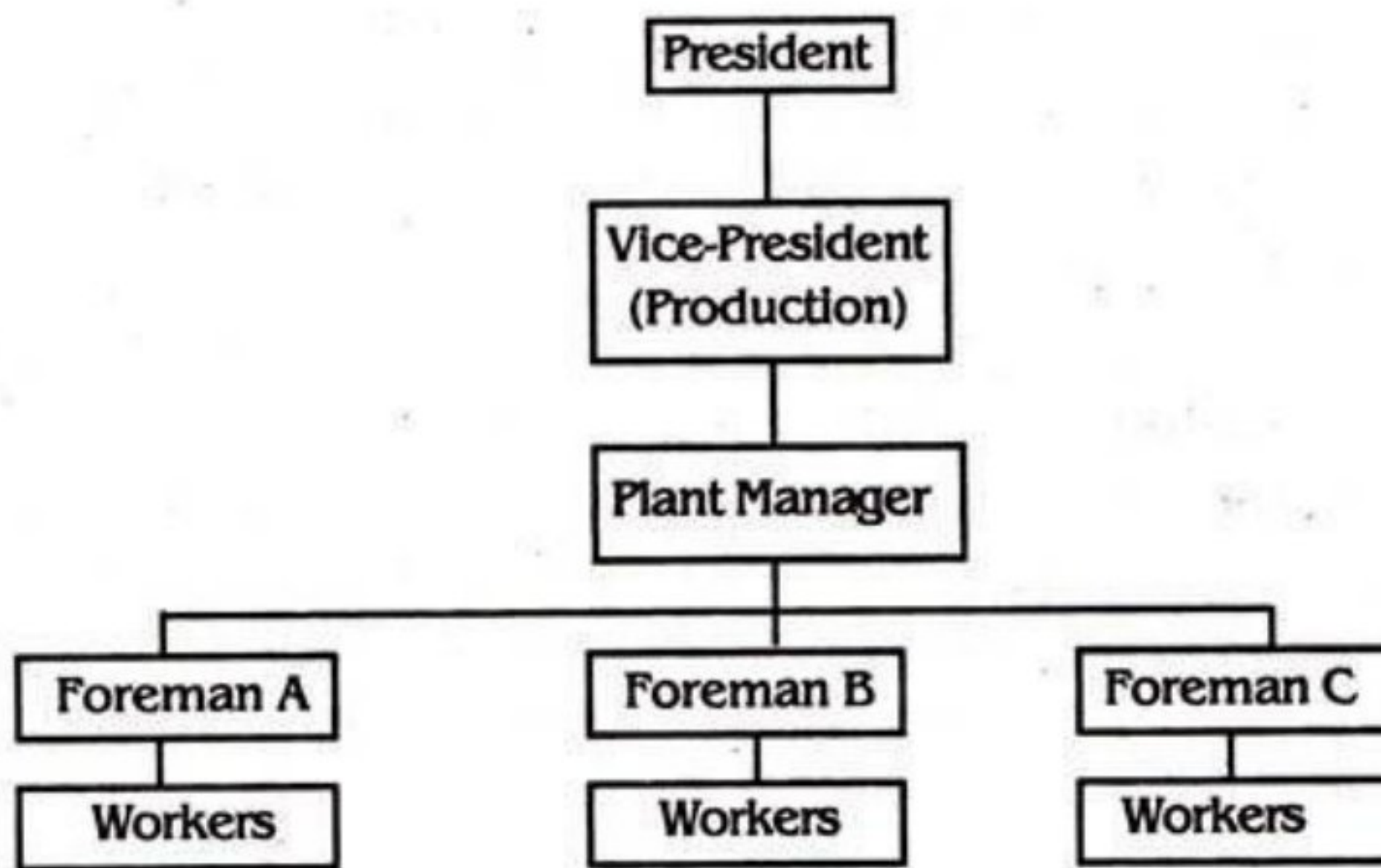


FIGURE 6.11 : LINE ORGANIZATION

Advantages of Line Organization:

- The line organization structure is very simple to understand and simple to operate.
- Communication is fast and easy and feedback can be acted upon faster.
- Responsibility is fixed and unified at each level and authority and accountability are clear-cut, hence each individual knows to whom he is responsible and who is or in truth responsible to him.
- Since it is especially useful when the company is small in size, it provides for greater control and discipline in the organization.
- It makes rapid decisions and effective coordination possible. So it is economic and effective.
- The people in line type of organization get to know each other better and tend to feel close to each other.

g. The system is capable of adjusting itself to changing conditions for the simple reason that each executive has sole responsibility in his own sphere.

Disadvantages of Line Organization:

- a. It is a rigid and inflexible form of organization.
- b. There is a tendency for line authority to become dictatorial.
- c. It overloads the executive with pressing activities so that long-range planning and policy formulation are often neglected.,
- d. There is no provision for specialists and specialization, which is essential for growth and optimization.
- e. Different departments may be much interested in their self-interests, rather than overall organizational interests and welfare.
- f. It is likely to encourage nepotism.
- g. It does not provide any means by which a good worker may be rewarded and a bad one punished.

Line and Staff Organization:

This type of organization structure is in large enterprises. The functional specialists are added to the line in line and staff organization. Mere, staff is basically advisory in nature and usually does not possess any command authority over line managers. Allen has defined line and staff organization as follows.

“Line functions are those which have direct responsibility for accomplishing the objectives of the enterprises and staff refers to those elements of the organization that help the line to work most effectively in accomplishing the primary objectives of the enterprises.”

In the line and staff organisation, staffs assist the line managers in their duties in order to achieve the high performance. So, in an organization which has the production of textiles, the production manager, marketing manager and the finance manager may be treated as line executives, and the department headed by them may be called line departments

On the other hand, the personnel manager who deal with the recruitment, training and placement of workers, the quality control manager who ensure the quality of products and the public relations manager are the executives who perform staff functions.

Here, it is better to see the type of staff, which may be in an organization.

Type of Staff:

The staff organizations mentioned above all has in common the fact that they are auxiliary to the main functions of the business. There are, however, different types of staff.

The three main divisions may be listed as:

1. Personal Staff.
2. Specialized Staff.
3. General Staff.

1. Personal Staff:

Personal staff consists of a personal assistant or adviser attached to the line executive at any level. His main function is to aid and advise the line executive as also to perform any other work assigned to him.

In business, the personal staffs is typified by the private secretary, who may keep the executive's personal check book, buy his Christmas presents and arrange his appointments. General or business executives are given personal staff assistants on the same theory. Their time is too valuable to be spent in handling the details of daily living.

2. Specialized Staff:

The specialised staff have expert knowledge in the specific fields. The specialised staff are those that handle the specialised functions. For example, accounting, personnel, engineering and research. It is now impossible for one man to familiarize himself with all the various specialties needed in the modern large business.

Hence the general or the company president, and perhaps the department head, is provided with experts in each Field to counsel him on the various specialize staff could serve in any of the following capacities:

- a. Advisory Capacity.
- b. Service Capacity.
- c. Control Capacity.

a. Advisory Capacity:

Its purpose is to render specialised advice and assistance to management while needed. Some typical areas covered by advisory staff is legal, public relations and economic development areas.

b. Service Capacity:

This group provides a service, which is useful to the organisation as a whole and not to any specific division or function. An example would be the personnel department serving the enterprises by procuring and training the needed personnel for all departments. Other areas of service include research and development, purchasing, statistical analysis, insurance problems etc.

c. Control Capacity:

This includes quality control staff that may have the authority to control the quality and enforce standards.

3. General Staff:

Any decision that cuts across departmental lines must be made by the Chief Executive. It cannot be delegated to the head of a specialised staff group or to a line department head, since other department heads will naturally resent interference in their department heads will naturally resent interference in their department by someone who is in no way their superior.

A typical case would be a change in the organisation structure of the company as a whole: the combination of two departments under a single head, for example or the organisation of a new top-level department.

It is with these functions that cannot be delegated that the general staff personnel can provide assistance and save the time of the top man. True, the chief cannot delegate any one of these functions to a general staff person, but he can often delegate parts of each of them.

The title of the general staff person is most often “assistance to” the company president, or other executive.

A staff member may serve as a coach, diagnostician, policy planner, coordinator, trainer, strategist etc.

A line and staff organisation chart is given below:

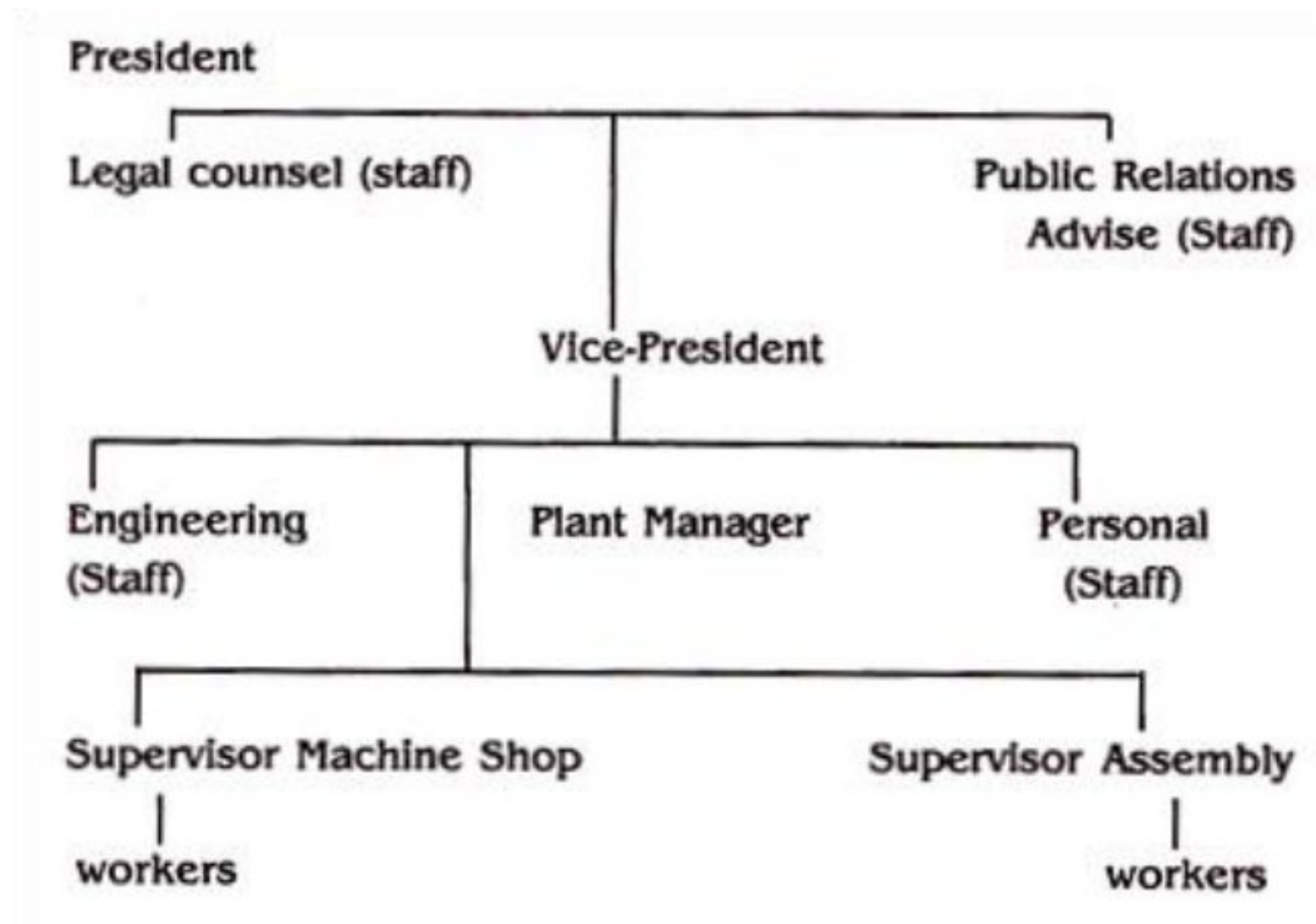


FIGURE 6.12 : LINE AND STAFF ORGANISATION

Advantages of Line and Staff Organisation:

- a. Line officers can concentrate mainly on the doing function as the work of planning and investigation is performed by the staff. Specialisation provides for experts advice and efficiency in management.
- b. Since the organisation comprises line and staff functions, decisions can be taken easily.
- c. The staff officers supply complete factual data to the line officers covering activity within and without their own units. This will help to greater co-ordination.
- d. It provides an adequate opportunity for the advancement of workers.
- e. The staff services provides a training ground for the different positions.
- f. Adequate organisation a balance among the various activities can be attained easily.
- g. The system is flexible for new activities may be undertaken by the staff without forcing early adjustments of line arrangements.
- h. Staff specialists are conceptually oriented towards looking ahead and have the time to do programmer and strategic planning and analyze the possible effects of expected future events.

Disadvantages of Line and Staff Organisation:

- a. Confusion and conflict may arise between line and staff. Because the allocation of authority and responsibility is not clear and members of the lower levels may be confused by various line orders and staff advices.
- b. Staff generally advises to the lines, but line decides and acts. Therefore the staffs often feel powerless.
- c. Too much reliance on staff officers may not be beneficial to the business because line officials may lose much of their judgment and imitative.

- d. Normally, staff employees have specialised knowledge and expert. Line makes the final decisions, even though staff give their suggestions. Staff officers, therefore, may be resented.
- e. Staff officers are much educated so their ideas may be more theoretical and academic rather than practical.
- f. Although expert advice is available it reaches the workers through the managers. Here it is liable to create a greater deal of misunderstanding and misinterpretation.
- g. Since staff specialists demand higher payments, it is expensive.
- h. The staff are unable to carry out its plan or recommendations because of lack of authority. So they become ineffective sometimes, it will make them careless and indifferent towards their jobs.
- i. Since the line are performed, with the advice provided by the staff, if things go right then the staff takes the credit and if things go wrong then the line get the blame for it.

Functional Organisation:

The functional organisation was evolved by F.W. Taylor while he was working as a foreman. He suggested eight foremen, four in factory and four in planning division as under.

Factory Division:

- (i) The gang boss,
- (ii) The speed boss,
- (iii) The inspector, and
- (iv) The maintenance or repair boss.

Planning Division:

- (i) Route Clerk,
- (ii) Instruction card clerk,
- (iii) Time and cost clerk, and
- (iv) The shop disciplinarian.

He evolved his functional organisation system, which consists in “so dividing the work of management that each man, from the assistant superintendent down, shall have as few functions as possible to perform.”

According to Terry, “Functional organisation refers to the organisation which is divided into a number of functions such as finance, production, sales, personnel, office and research and development and each of functions are performed by an expert”. Line authority, staff authority and functional authority as a third type of authority are in this type of organisation.

FEATURES OF FUNCTIONAL ORGANISATION:

- a. Each worker receives instructions not only from one superior, but also from a group of specialists.
- b. Three types of authority relationships are in the functional organisation such as line authority, staff authority and functional authority.
- c. Staff specialists are given the authority to decide and do things in a limited way.
- d. The scope of the work is kept limited but the area of authority is left unlimited.
- e. There is a grouping of activities of the enterprise into certain major functional departments.

Advantages of Functional Organisation:

- a. Each manager is an expert in his field. He has to perform a limited number of functions. So complete specialization will be in functional organisation.
- b. The greater degree of specialization leads the improvement in the quality of product.
- c. Since the job requirements are definite and tangible, organisation can achieve the intensive utilization of the principle of specializations of labour at the managerial level.
- d. Specializations will lead for mass production and standardization.
- e. Since experts get sufficient time for creative thinking, planning and supervision are made efficient.
- f. It increases the work satisfaction for specialists who presumably do what they like to do.

Disadvantages of Functional Organisation:

- a. Since there is no direct boss or controller of the workers, co-ordination is hard to achieve.
- b. Since workers are under different bosses, discipline is hard to achieve. As results there will be low morale on the part of the workers.
- c. The non-supervisory employees are uncertain as to whom they should turn for advice and aid when problem call for analysis.
- d. Due to that control is divided, action cannot be taken immediately.
- e. Since there will be many foreman of equal rank in the same department, the conflicts of leadership may arise.
- f. It reduces the opportunities for the training of all-round executives to assume further leadership in the firm.

Project Organisation:

This organisational structure are temporarily formed for specific projects for a specific period of time, for the project of achieving the goal of developing new product, the specialists from different functional departments such as production, engineering, quality control, marketing research etc., will be drawn to work together. These specialists go back to their respective duties as soon as the project is completed.

Really, the project organisation is set-up with the object of overcoming the major weakness of the functional organisation, such as absence of unity of command, delay in decision-making, and lack of coordination.

The project organization chart may be shown as follows:

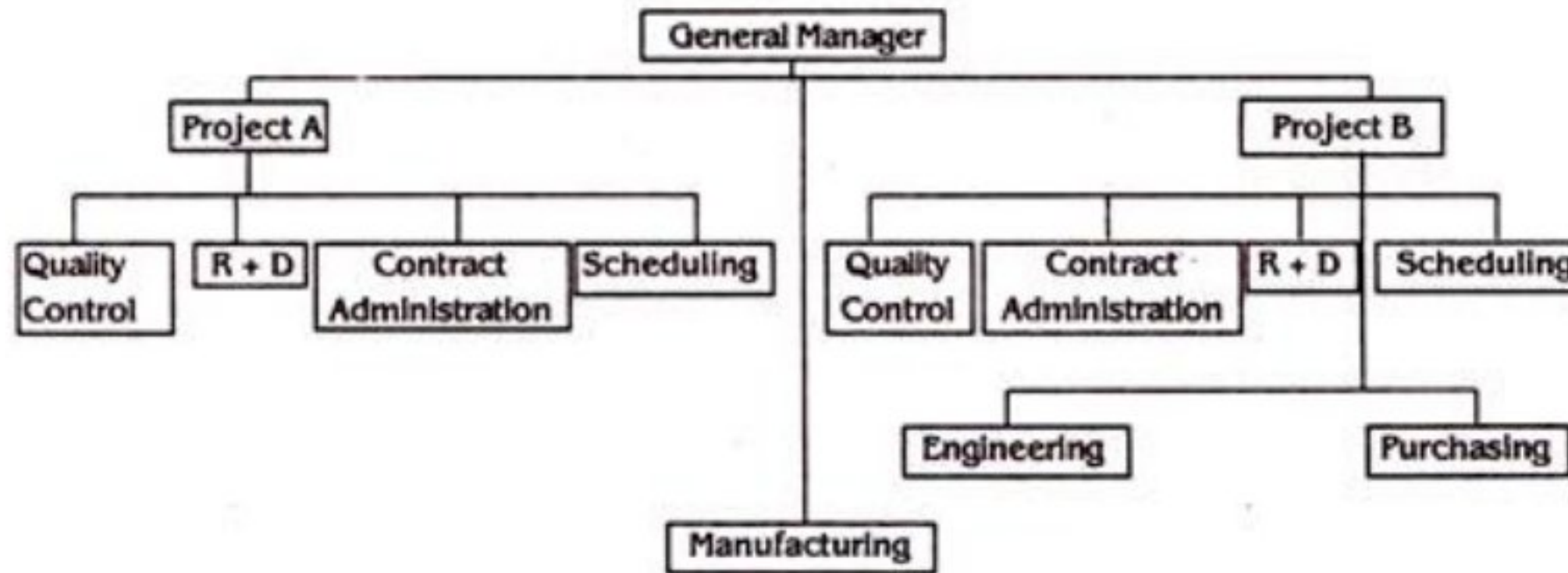


FIG. 6.13 : PROJECT ORGANISATION

Advantages of Project Organisation:

- It is a remarkable illustration of relationship between environment, strategy and structure.
- The grouping of activities on the basis of each project results in introduction of new authority patterns.
- Since the specialists from different departments is drawn to work together under the project organisation it helps to coordination.
- It makes for meaningful control and fixation of individual responsibility.

Disadvantages of Project Organisation:

- The uncertainty may be attributed to the diverse backgrounds of the professional who are deputed to the project.
- The project manager finds it difficult to motivate and control the staff in a traditional way in the absence of well-defined areas of responsibility lines of communication and criteria to judge performance.
- Delay in completion of the project may occur.
- Effective project management may also be hindered by the top management who may not be wholly aware of the problems at the project center.

Matrix Organisation:

According to Stanley Davis and Paul Lawrence matrix organisation is “any organisation that employs a multiple command system that includes not only the multiple command structure, but also related support mechanism and an associated organisational culture and behaviour pattern.”

A matrix organisation, also referred to as the “multiple command system” has two chains of command. One chain of command is functional in which the flow of authority is vertical.

The second chain is horizontal depicted by a project team, which is led by the project, or group manager who is an expert in his team’s assigned area of specialisation. Since the matrix structure integrates the efforts of functional and project authority, the vertical and horizontal lines of authority are combination of the authority flows both down and across. The matrix form of organisation is given below.

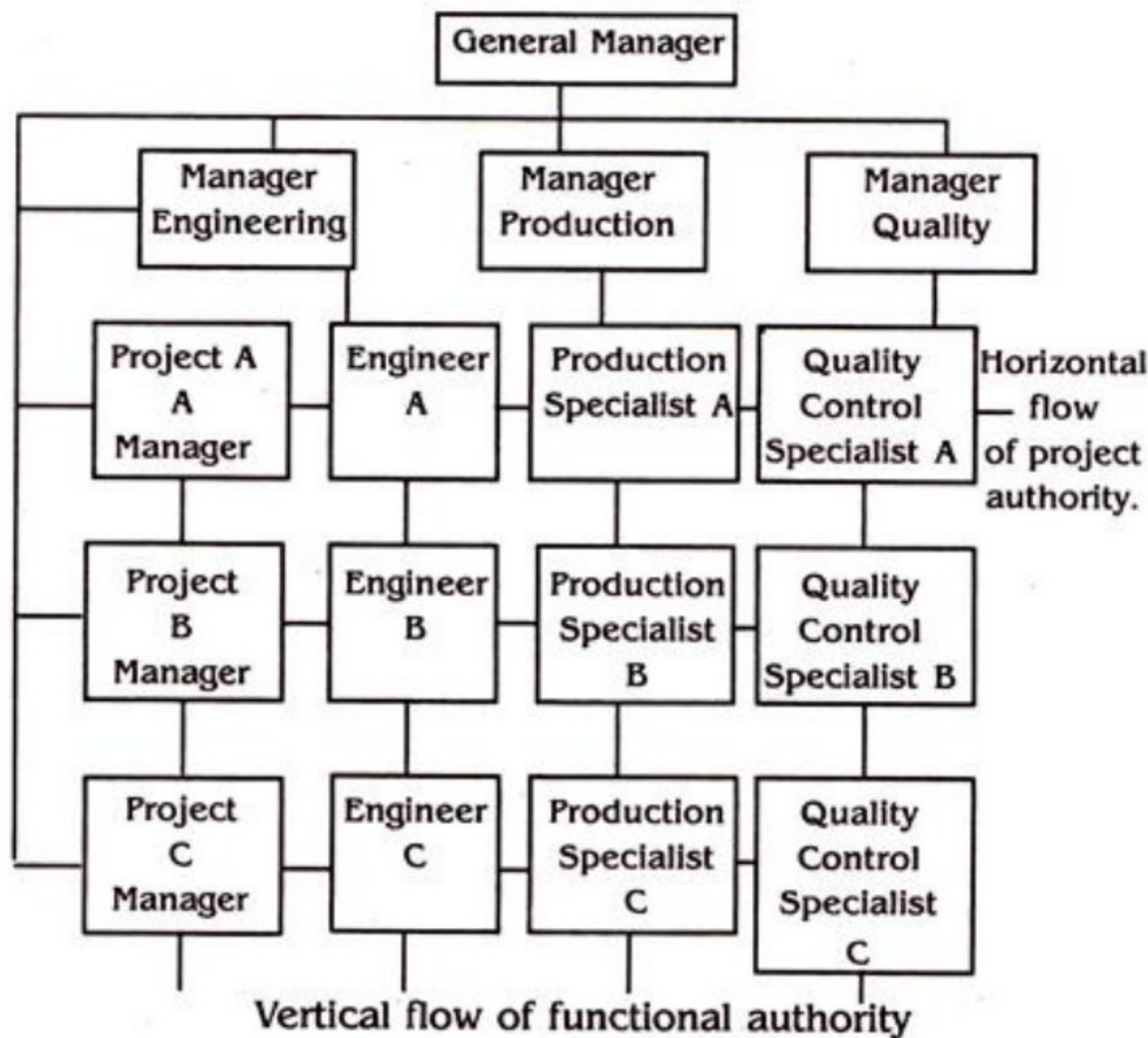


FIGURE 6.14 : MATRIX ORGANISATION

Advantages of Matrix Organisation:

1. Since there is both vertical and horizontal communication it increases the coordination and this coordination leads to greater and more effective control over operations.
2. Since the matrix organisation is handling a number of projects, available resources will be used fully.
3. It focuses the organisational resources on the specified projects, thus enabling better planning and control.

4. It is highly flexible as regards adherence to rules, procedures etc. Here experience is the best guide to establishing rules and procedures.
5. As any department or division has to harness its effort towards accomplishment of a single project, employees are effectively motivated.

Disadvantages of Matrix Organisation:

1. Since, there is more than one supervisor for each worker, it causes confusion and conflicts and reduce effective control.
2. There is continuous communication both vertically as well horizontally, which increases paper work and costs.
3. It is difficult to achieve a balance between the projects technical and administrative aspects.

WHAT IS INTERNATIONAL MANAGEMENT?

International management involves understanding international economics, leading change in international corporations and creating global business strategies. Continue reading for more information about what international management encompasses and how you can study this subject. Schools offering International Business degrees can also be found in these popular choices.

Global Leadership is the interdisciplinary study of the key elements that future leaders in all realms of the personal experience should acquire to effectively familiarize themselves with the psychological, physiological, geographical, geopolitical, anthropological and sociological effects of globalization. Global leadership occurs when an individual or individuals navigate collaborative efforts of different stakeholders through environmental complexity towards a vision by leveraging a global mindset. As a result of trends, starting with colonialism and perpetuated by the increase in mass media, innovation, (brought about by the Internet and other forms of human interaction based on the speed of computer-mediation) a host of meaningful new concerns face mankind; consisting of but not limited to: human enterprises toward peace, international business design, and significant shifts in geopolitical paradigms. The talent and insight it will take leaders to successfully navigate humanity through these developments have been collectively focused around the phenomenon of globalization

Global Leadership and Organizational Behaviour Effectiveness (GLOBE) is a large-scale research programme which comprised a network of 170 social scientists and management scholars. The study is based on a survey of 17,000 managers from three industries (banking, food processing and telecommunications) across 62 cultures. The GLOBE researchers identified nine dimensions of culture (House et al. 2002; Magnusson et al. 2008, p. 186):

1. Uncertainty avoidance: The extent to which a society tries to avoid the unpredictability of future events, e.g. by relying on rituals or bureaucratic practices.
2. Power Distance: The degree to which members of a culture expect and accept power to be distributed unequally.
3. Collectivism I (Societal Collectivism): The degree to which organisational and societal institutional practices encourage collective distribution of resources and collective action.
4. Collectivism II (In-Group Collectivism): The degree to which individuals express loyalty and cohesiveness in their organisations or families.
5. Gender Egalitarianism: The extent to which a society minimises gender role differences and discrimination.
6. Assertiveness: The degree to which individuals are assertive, confrontational and aggressive in social relationships.
7. Future Orientation: The degree to which individuals engage in future oriented behaviours such as delaying gratification, planning and investing in the future.
8. Performance Orientation: The extent to which a society encourages and rewards group members for performance improvement and excellence.
9. Humane Orientation: The degree to which individuals encourage and reward individuals for being fair, altruistic, friendly, generous, caring or kind.

UNIT- 2

➤ OPERATIONS MANAGEMENT

Operations Management is an area of management concerned with designing and controlling the process of production and redesigning business operations in the production of goods or services.

It involves the responsibility of ensuring that business operations are efficient in terms of using as few resources as needed and effective in terms of meeting customer requirements. Operations management is primarily concerned with planning, organizing and supervising in the contexts of production, manufacturing or the provision of services

It is concerned with managing an entire production system which is the process that converts inputs (in the forms of raw materials, labor, and energy) into outputs (in the form of goods and/or services), as an asset or delivers a product or services.

Operations produce products, manage quality and creates service. Operation management covers sectors like banking systems, hospitals, companies, working with suppliers, customers, and using technology. Operations is one of the major functions in an organization along with supply chains, marketing, finance and human resources. The operations function requires management of both the strategic and day-to-day production of goods and services.

In managing manufacturing or service operations several types of decisions are made including operations strategy, product design, process design, quality management, capacity, facilities planning, production planning and inventory control. Each of these requires an ability to analyze the current situation and find better solutions to improve the effectiveness and efficiency of manufacturing or service operations.

➤ **14 PRINCIPLES OF MANAGEMENT OF HENRI FAYOL**

14 principles of Management are statements that are based on a fundamental truth. These principles of management serve as a guideline for decision-making and management actions.

1. Division of Work

In practice, employees are specialized in different areas and they have different skills. Different levels of expertise can be distinguished within the knowledge areas (from generalist to specialist). Personal and professional developments support this. According to Henri Fayol specialization promotes efficiency of the workforce and increases productivity. In addition, the specialization of the workforce increases their accuracy and speed. This management principle of the 14 principles of management is applicable to both technical and managerial activities.

2. Authority and Responsibility

In order to get things done in an organization, management has the authority to give orders to the employees. Of course with this authority comes responsibility. According to Henri Fayol, the accompanying power or authority gives the management the right to give orders to the subordinates. The responsibility can be traced back from performance and it is therefore

necessary to make agreements about this. In other words, authority and responsibility go together and they are two sides of the same coin.

3. Discipline

This third principle of the 14 principles of management is about obedience. It is often a part of the core values of a mission and vision in the form of good conduct and respectful interactions. This management principle is essential and is seen as the oil to make the engine of an organization run smoothly.

4. Unity of Command

The management principle 'Unity of command' means that an individual employee should receive orders from one manager and that the employee is answerable to that manager. If tasks and related responsibilities are given to the employee by more than one manager, this may lead to confusion which may lead to possible conflicts for employees. By using this principle, the responsibility for mistakes can be established more easily.

5. Unity of Direction

This management principle of the 14 principles of management is all about focus and unity. All employees deliver the same activities that can be linked to the same objectives. All activities must be carried out by one group that forms a team. These activities must be described in a plan of action. The manager is ultimately responsible for this plan and he monitors the progress of the defined and planned activities. Focus areas are the efforts made by the employees and coordination.

6. Subordination of Individual Interest

There are always all kinds of interests in an organization. In order to have an organization function well, Henri Fayol indicated that personal interests are subordinate to the interests of the organization (ethics). The primary focus is on the organizational objectives and not on those of the individual. This applies to all levels of the entire organization, including the managers.

7. Remuneration

Motivation and productivity are close to one another as far as the smooth running of an organization is concerned. This management principle of the 14 principles of management argues that the remuneration should be sufficient to keep employees motivated and productive. There are two types of remuneration namely non-monetary (a compliment, more responsibilities, credits) and monetary (management, bonus or other financial management). Ultimately, it is about rewarding the efforts that have been made.

8. The Degree of Centralization

Management and authority for decision-making process must be properly balanced in an organization. This depends on the volume and size of an organization including its hierarchy.

Centralization implies the concentration of decision making authority at the top management (executive board). Sharing of authorities for the decision-making process with lower levels (middle and lower management), is referred to as decentralization by Henri Fayol. Henri Fayol indicated that an organization should strive for a good balance in this.

9. Scalar Chain

Hierarchy presents itself in any given organization. This varies from senior management (executive board) to the lowest levels in the organization. Henri Fayol's "hierarchy" management principle states that there should be a clear line in the area of authority (from top to bottom and all managers at all levels). This can be seen as a type of management structure. Each employee can contact a manager or a superior in an emergency situation without challenging the hierarchy. Especially, when it concerns reports about calamities to the immediate managers/superiors.

10. Order

According to this principle of the 14 principles of management, employees in an organization must have the right resources at their disposal so that they can function properly in an organization. In addition to social order (responsibility of the managers) the work environment must be safe, clean and tidy.

11. Equity

The management principle of equity often occurs in the core values of an organization. According to Henri Fayol, employees must be treated kindly and equally. Employees must be in the right place in the organization to do things right. Managers should supervise and monitor this process and they should treat employees fairly and impartially.

12. Stability of Tenure of Personnel

This management principle of the 14 principles of management represents deployment and managing of personnel and this should be in balance with the service that is provided from the organization. Management strives to minimize employee turnover and to have the right staff in the right place. Focus areas such as frequent change of position and sufficient development must be managed well.

13. Initiative

Henri Fayol argued that with this management principle employees should be allowed to express new ideas. This encourages interest and involvement and creates added value for the company. Employee initiatives are a source of strength for the organization according to Henri Fayol. This encourages the employees to be involved and interested.

14. Esprit de Corps

The management principle 'esprit de corps' of the 14 principles of management stands for striving for the involvement and unity of the employees. Managers are responsible for the development of morale in the workplace; individually and in the area of communication. Esprit de corps contributes to the development of the culture and creates an atmosphere of mutual trust and understanding.

➤ TYPES OF MANAGEMENT

Management has many faces. That is to say that managers have many styles and management has many types.

These are the most common types of management.

1. Strategic Management

Strategic management looks at an organization's overall strategy formation and execution with the goal of growing and sustaining competitive advantage.

Strategic management is an executive function that may report to the owners of a firm.

2. Sales Management

Management of sales territories, teams or account

3. Marketing Management

Management of marketing strategies, products, brands and promotions.

4. Public Relations

Managing communications between an organization and the public.

5. Operations Management

The management of production of goods and services. Operations management is a broad field that describes everything from manufacturing management to retail management.

6. Supply Chain Management

Managing the process of moving a product or service from supplier to customer.

7. Procurement Management

Managing the acquisition of goods and services from external sources.

8. Financial & Accounting Management

Managing financial and accounting processes and teams.

9. Human Resources Management

Responsible for attracting, hiring, training, compensating, rewarding and managing the performance of employees. Human resources places a key role in forming and overseeing an organization's culture.

10. Information Technology Management

Managing information technology teams and processes.

11. R&D Management

The management of research & development processes and teams.

12. Engineering Management

Managing the application of engineering to business solutions. For example, new product development, manufacturing and construction.

13. Program Management

Program management is the management of an ongoing portfolio of projects.

14. Project Management

Project management is the planning, organization and control of projects.

15. Risk Management

Risk management is the discipline of identifying, assessing and controlling the chance that objectives and processes will have negative consequences.

16. Change Management

Change management applies a structured approach to business change. The goal of change management is to help organizations and teams make smooth transitions to target states.

17. Quality Management

The management of quality planning, control, assurance and improvement.

18. Innovation Management

The management of innovation processes such as strategy, research & development or organizational change.

19. Design Management

The management of design processes such as new product design.

20. Facility Management

The management of facilities such as offices and data centers.

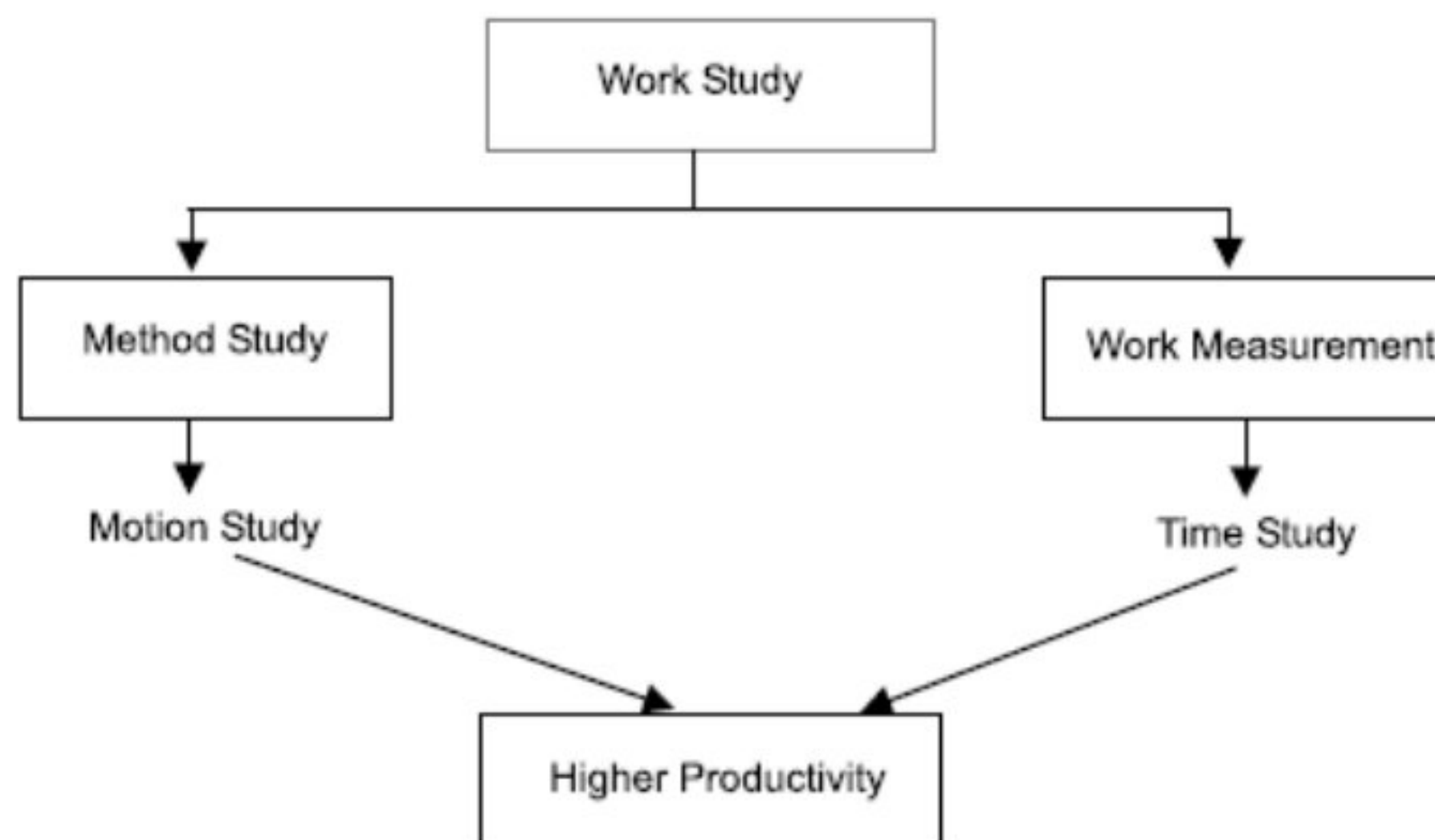
21. Knowledge Management

Knowledge management enables the identification, creation, representation, distribution and use of knowledge. In a knowledge driven economy, this has become a critical field.

➤ “WORK STUDY

“**Work study** is a generic term for those techniques, method study and work measurement which are used in the examination of human work in all its contexts. And which lead systematically to the investigation of all the factors which affect the efficiency and economy of the situation being reviewed, in order to effect improvement.”

Framework of work study:



Advantages of Work Study

Following are the advantages of work study:

1. It helps to achieve the smooth production flow with minimum interruptions.
2. It helps to reduce the cost of the product by eliminating waste and unnecessary operations.
3. Better worker-management relations.
4. Meets the delivery commitment.
5. Reduction in rejections and scrap and higher utilization of resources of the organization.
6. Helps to achieve better working conditions.
7. Better workplace layout.
8. Improves upon the existing process or methods and helps in standardization and simplification.
9. Helps to establish the standard time for an operation or job which has got application in manpower planning, production planning.

➤ STATISTICAL QUALITY CONTROL (SQC)

Statistical Quality Control (SQC) The general category of statistical tools used to evaluate organizational quality.

Statistical Quality Control (SQC) is the term used to describe the set of statistical tools used by quality professionals. Statistical quality control can be divided into **three broad categories**:

1. Descriptive statistics are used to describe quality characteristics and relationships. Included are statistics such as the mean, standard deviation, the range, and a measure of the distribution of data.
2. Statistical process control (SPC) involves inspecting a random sample of the output from a process and deciding whether the process is producing products with characteristics that fall within a predetermined range. SPC answers the question of whether the process is functioning properly or not.
3. Acceptance sampling is the process of randomly inspecting a sample of goods and deciding whether to accept the entire lot based on the results. Acceptance sampling determines whether a batch of goods should be accepted or rejected.

All three of these statistical quality control categories are helpful in measuring and evaluating the quality of products or services. However, statistical process control (SPC) tools are used most frequently because they identify quality problems during the production process.

Statistical process control methods extend the use of descriptive statistics to monitor the quality of the product and process. As we have learned so far, there are common and assignable causes of variation in the production of every product. Using statistical process control we want to determine the amount of variation that is common or normal. Then we monitor the production process to make sure production stays within this normal range. That is, we want to make sure the process is in a state of control. The most commonly used tool for monitoring the production process is a control chart. Different types of control charts are used to monitor different aspects of the production process. In this section we will learn how to develop and use control charts.

Control charts, also known as **Shewhart charts** (after Walter A. Shewhart) or **process-behavior charts**, are a statistical process control tool used to determine if a manufacturing or business process is in a state of control.

CONTROL CHART

A control Chart (also called process chart or quality control chart) is a graph that shows whether a sample of data falls within the common or normal range of variation. A control chart has upper and lower control limits that separate common from assignable causes of variation.

Types of Control Charts:

Control charts are one of the most commonly used tools in statistical process control. They can be used to measure any characteristic of a product, such as the weight of a cereal box, the number of chocolates in a box, or the volume of bottled water. The different characteristics that can be measured by control charts can be divided into two groups: variables and attributes. A control chart for variables is used to monitor characteristics that can be measured and have a continuum of values, such as height, weight, or volume. A soft drink bottling operation is an example of a variable measure, since the amount of liquid in the bottles is measured and can take on a number of different values. Other examples are the weight of a bag of sugar, the temperature of a baking oven, or the diameter of plastic tubing.

- Variable A product characteristic that can be measured and has a continuum of values (e.g., height, weight, or volume).
- Attribute A product characteristic that has a discrete value and can be counted.

P-Chart

In statistical quality control, the **p-chart** is a type of control chart used to monitor the proportion of nonconforming units in a sample, where the sample proportion nonconforming is defined as the ratio of the number of nonconforming units to the sample size, n .^[1]

The p-chart only accommodates "pass"/"fail"-type inspection as determined by one or more go-no go gauges or tests, effectively applying the specifications to the data before they are plotted on the chart. Other types of control charts display the magnitude of the quality characteristic under study, making troubleshooting possible directly from those charts.

C-Chart

In statistical quality control, the **c-chart** is a type of control chart used to monitor "count"-type data, typically total number of nonconformities per unit.^[1] It is also occasionally used to monitor the total number of events occurring in a given unit of time.

The c-chart differs from the p-chart in that it accounts for the possibility of more than one nonconformity per inspection unit, and that (unlike the p-chart and u-chart) it requires a fixed sample size. The p-chart models "pass"/"fail"-type inspection only, while the c-chart (and u-chart) give the ability to distinguish between (for example) 2 items which fail inspection because of one fault each and the same two items failing inspection with 5 faults each; in the

former case, the p-chart will show two non-conformant items, while the c-chart will show 10 faults.

R- Chart

R charts are used to monitor the variation of a process based on samples taken from the process at given times (hours, shifts, days, weeks, months, etc.). The measurements of the samples at a given time constitute a subgroup. Typically, an initial series of subgroups is used to estimate the standard deviation of a process. The standard deviation is then used to produce control limits for the range of each subgroup.

➤ MATERIALS MANAGEMENT

Materials Management is the planning, directing, controlling and coordinating those activities which are concerned with materials and inventory requirements, from the point of their inception to their introduction into the manufacturing process.

Materials Management is a core supply chain function and includes supply chain planning and supply chain execution capabilities. Specifically, materials management is the capability firms use to plan total material requirements. The material requirements are communicated to procurement and other functions for sourcing. Materials management is also responsible for determining the amount of material to be deployed at each stocking location across the supply chain, establishing material replenishment plans, determining inventory levels to hold for each type of inventory (raw, WIP, Finished Goods), and communicating information regarding material needs throughout the extended supply chain.

Typical roles in Materials Management include: Materials Manager, Inventory Control Manager, Inventory Analyst, Material Planner, Expediter and emerging hybrid roles like "buyer planner".

The primary business objective of Materials Management is assured supply of material, optimum inventory levels and minimum deviation between planned and actual results.

Functions of Materials Management under following heads:

- (i) Planning and programming for materials purchase.
- (ii) Stores and Stock control.
- (iii) Receiving and issue of the material.
- (iv) Transportation and material handling of the material.
- (v) Value engineering and value analysis.
- (vi) Disposal of scrap and surplus materials.

Objectives of Materials Management:

Materials management contributes to survival and profits of an enterprise by providing adequate supply of materials at the lowest possible costs.

The fundamental objectives of materials management activities can be:

(i) Material Selection:

Correct specification of material and components is determined. Also the material requirement in agreement with sales programme is assessed. This can be done by analyzing the requisition order of the buying department. With this standardization one may have lower cost and the task of procurement, replacement etc. may be easier.

(ii) Low operating costs:

It should endeavor to keep the operating costs low and increase the profits without making any concessions in quality.

(iii) Receiving and controlling material safely and in good condition.

(iv) Issue material upon receipt of appropriate authority.

(v) Identification of surplus stocks and taking appropriate measures to produce it.

The outcome of all these objectives can be listed as given below:

(i) Regular uninterrupted supply of raw-materials to ensure continuity of production.

(ii) By providing economy in purchasing and minimising waste it leads to higher productivity.

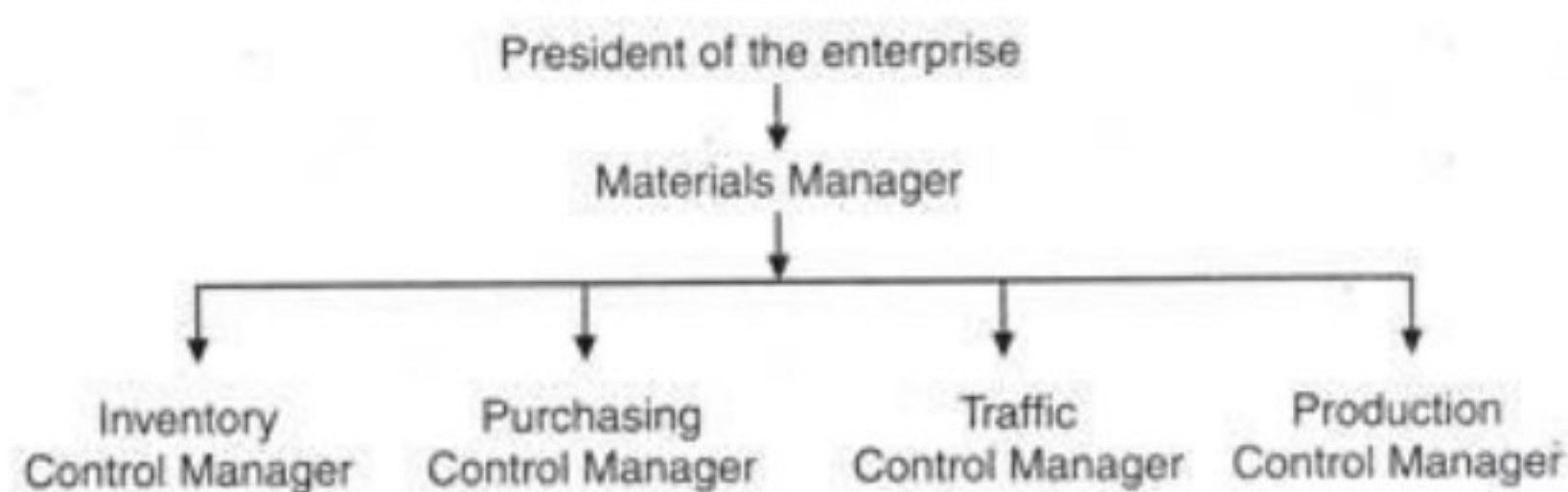
(iii) To minimise storage and stock control costs.

(iv) By minimising cost of production to increase profits.

(v) To purchase items of best quality at the most competitive price.

Organization of Materials Management Department:

To facilitate planning, direction, control and co-ordination of various activities related to material in an enterprise there should be a separate department of materials management. The organisational structure of the department can be.



There can be more sub-sections of the department but in general, materials manager controls the four major sections and is responsible for reporting to the president of the organisation.

➤ **Inventory Management**

Inventory management is the supervision of non-capitalized assets (inventory) and stock items.

A component of supply chain management, inventory management supervises the flow of goods from manufacturers to warehouses and from these facilities to point of sale. A key function of inventory management is to keep a detailed record of each new or returned product as it enters or leaves a warehouse or point of sale.

➤ **NEED OF INVENTORY CONTROL**

The main objectives of Inventory Control are as follows:

1. **For Effective Cost Accounting System:** Cost accounting system is useful only when there is a tight control over cost and inventory cost is a major part of total production cost.
2. **To Check Waste and Wastage:** Inventory control not just only ensures uninterrupted material supply to production department but also ensures the control from purchasing to supply of finished goods to customers. So in this way it checks waste and wastage whether it is about time, money or material.
3. **To Check Embezzlement and Theft:** Inventory control is to maintain necessary records for protecting theft and embezzlement.
4. **For the Success of Business:** Customer's satisfaction is very much important for the success of business and customer's satisfaction is directly related to the goods supplied to them. If the goods supplied to customers are low in cost with good quality at right time, it ensures the success of business. Inventory Control helps in achieving this goal.
5. **For the Life of the Business:** In absence of Inventory Control there are many risks of losses.
6. **To Check National Wastage:** Inventory control checks the wastage of nation's resources such as raw minerals, ores, etc.

➤ **ECONOMIC ORDER QUANTITY (EOQ)**

DEFINITION

The Economic Order Quantity (EOQ) is a model that is used to calculate the optimal quantity that can be purchased or produced to minimize the cost of both the carrying inventory and the processing of purchase orders or production set-ups.

Formula

Following is the formula for the economic order quantity (EOQ) model:

$$Q^* = \sqrt{\frac{2DS}{H}}$$

Where Q = optimal order quantity

D = units of annual demand

S = cost incurred to place a single order or setup

H = carrying cost per unit

This formula is derived from the following cost function:

Total cost = purchase cost + ordering cost + holding cost

Limitations of the economic order quantity model:

It is necessary for the application of EOQ order that the demands remain constant throughout the year. It is also necessary that the inventory be delivered in full when the inventory levels reach zero.

ABC Analysis

In materials management, the **ABC analysis** (or **Selective Inventory Control**) is an inventory categorization technique. ABC analysis divides an inventory into three categories—"A items" with very tight control and accurate records, "B items" with less tightly controlled and good records, and "C items" with the simplest controls possible and minimal records.

The ABC analysis provides a mechanism for identifying items that will have a significant impact on overall inventory cost,^[1] while also providing a mechanism for identifying different categories of stock that will require different management and controls.

The ABC analysis suggests that inventories of an organization are not of equal value.^[2] Thus, the inventory is grouped into three categories (**A**, **B**, and **C**) in order of their estimated importance.

Here are the following most common Inventory Analysis methods:

ABC Analysis

This analysis categorizes items based on their annual consumption value. Sometimes, Inventory Managers can use **Pareto's Principle** for classification.

Pareto's Principle classifies the important items in a certain group that usually constitute a small portion of the total items in the group. Then, the majority of the items, as a whole, will seem to be of minor significance.

Here is how ABC Analysis looks like:

- A: 10% of total inventories contributing towards 70% of total consumption value.
- B: 20% of total inventories, which account for about 20% of total consumption value.
- C: 70% of total inventories, which account for only 10% of total consumption value.

FSN Analysis

This analysis classifies inventory based on quantity, the rate of consumption and frequency of issues and uses. Here is the basic depiction of FSN Analysis:

F stands for Fast moving, S for Slow moving and N for Nonmoving items.

- Fast Moving (F) – Items that are frequently issued/used
- Slow Moving (S) – Items that are issued/used less for a certain period
- Non-Moving (N) – Items that are not issued/used for more than a certain duration

VED Analysis

This is an analysis whose classification is dependent on the user's experience and perception.

This analysis classifies inventory according to the relative importance of certain items to other items, like in spare parts.

In VED Analysis, the items are classified into three categories which are:

- Vital – inventory that consistently needs to be kept in stock.
- Essential – keeping a minimum stock of this inventory is enough.
- Desirable – operations can run with or without this, optional.

HML Analysis

HML Analysis classifies inventory based on how much a product costs/its unit price. The classification is as follows:

- High Cost (H) – Item with a high unit value.
- Medium Cost (M) – Item with a medium unit value.
- Low Cost (L) – Item with a low unit value.

SDE Analysis

This analysis classifies inventory based on how freely available an item or scarce an item is, or the length of its lead time. This is how the inventory is classified:

- Scarce (S) – Imported items and require longer lead time.
- Difficult (D) – Items which require more than a fortnight to be available, but less than 6 months lead time.
- Easily available (E) – Items which are easily available

UNIT-3

WHAT IS HUMAN RESOURCE?

According to **LEON C MEGGINSON**, the term Human Resource can be thought of as “The total knowledge, skills, creative abilities, talents and aptitudes of an organization workforce, as well as the value attitudes and beliefs of the individuals involved”.

MEANING OF HUMAN RESOURCE

The term human resource can also be explained in the sense that it is a resource like any natural resource. It does mean that the management can get and use the skill, knowledge, ability etc. Through the development of skills, tapping and utilizing them again by developing a positive attitude among employees. If the management creates positive attitude in employees it will bring positive results to management.

INTRODUCTION OF HRM

- HRM helps in attaining maximum individual development desirable working relationship between employers & employees, employees & employees & effective modeling of human resources as contrasted with physical resources.
- It is recruitment, selection, development, utilization, management and motivation of human resources by the organization.

HUMAN RESOURCE MANAGEMENT

Human resources may be defined as the total knowledge, skills, creative abilities, talents and aptitudes of an organization's workforce, as well as the values, attitudes, approaches and beliefs of the individuals involved in the affairs of the organization. It is the sum total or aggregate of inherent abilities, acquired knowledge and skills represented by the talents and aptitudes of the persons employed in the organization.

The human resources are multidimensional in nature. From the national point of view, human resources may be defined as the knowledge, skills, creative abilities, talents and aptitudes obtained in the population; whereas from the viewpoint of the individual enterprise, they represent the total of the inherent abilities, acquired knowledge and skills as exemplified in the talents and aptitudes of its employees.

HRM DEFINITION

“HRM means the planning, organizing, directing, and controlling of procurement, development, management, integration, maintenance and reproduction of human resources to the end that individual organisational and societal, objectives are accomplished. “

– **E.B.FLIPPO**

“HRM can is managing the functions of employing, developing and compensating human resulting in the creation and development of human relations with a view to contribute proportionally to the organizational, individual and social goods.”

-

- **Prof. P. SUBBARAO**

NATURE OF HRM

- It is pervasive in nature as it is present in all enterprises.
- Its focus is on results rather than on rules.
- It tries to help employees develop their potential fully.
- It encourages employees to give their best to the organization.
- It is all about people at work, both as individuals and groups.
- It tries to put people on assigned jobs in order to produce good results.

- It helps an organization meet its goals in the future by providing for competent and well-motivated employees.
- It tries to build and maintain cordial relations between people working at various levels in the organization.
- It is a multidisciplinary activity, utilizing knowledge and inputs drawn from psychology, economics, etc.

SCOPE OF HRM

- **Personnel aspect**-This is concerned with manpower planning, recruitment, selection, placement, transfer, promotion, training and development, layoff and retrenchment, remuneration, incentives, productivity etc.
- **Welfare aspect**-It deals with working conditions and amenities such as canteens, crèches, rest and lunch rooms, housing, transport, medical assistance, education, health and safety, recreation facilities, etc.
- **Industrial Relations Aspect** - This covers union-management relations, joint consultation, collective bargaining, grievance and disciplinary procedures, settlement of disputes, etc.

OBJECTIVES OF HRM

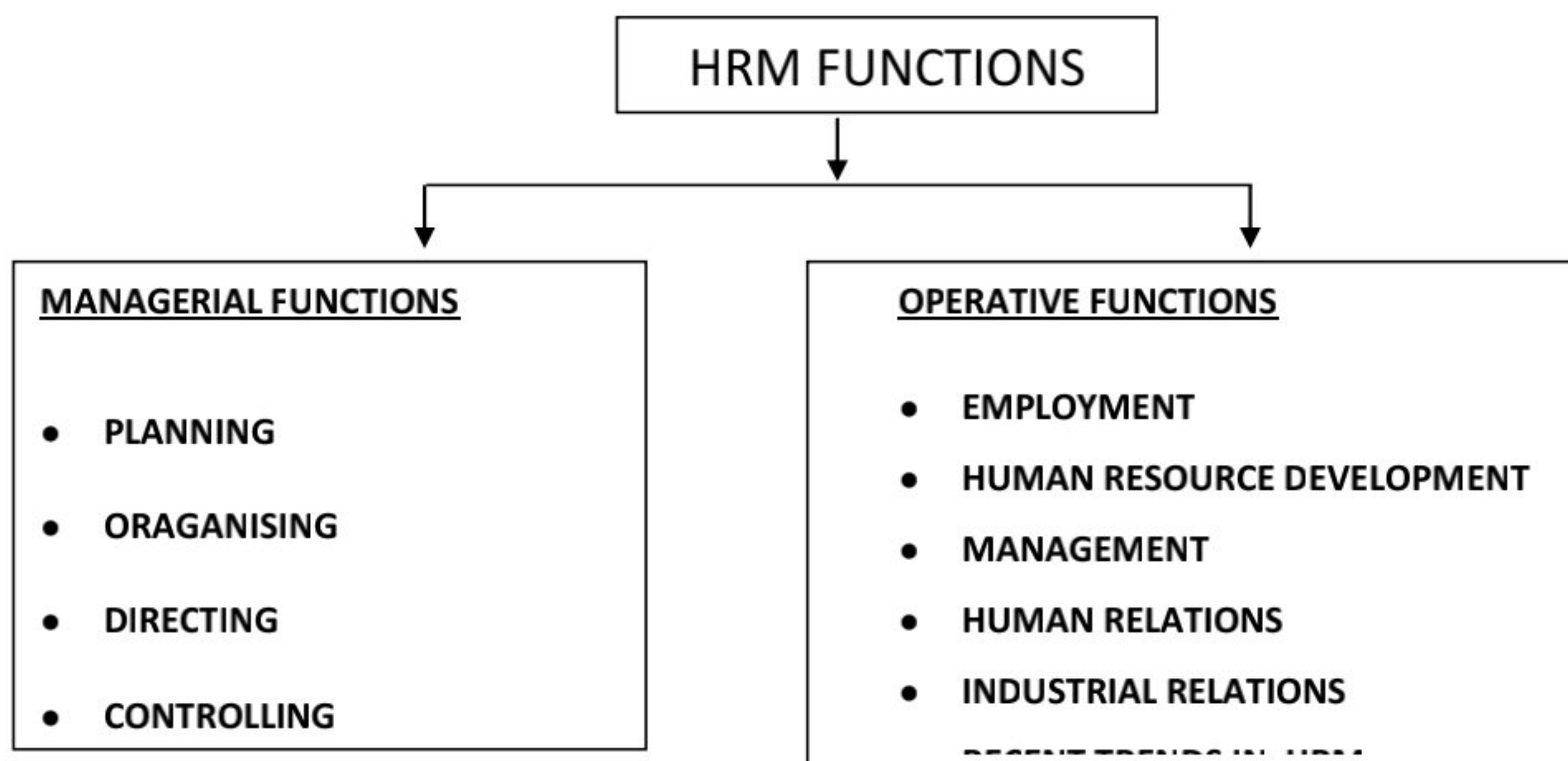
- To help the organization reach its goals.
- To ensure effective utilization and maximum development of human resources.
- To ensure respect for human beings. To identify and satisfy the needs of individuals.
- To ensure reconciliation of individual goals with those of the organization.
- To achieve and maintain high morale among employees.
- To provide the organization with well-trained and well-motivated employees.
- To increase to the fullest the employee's job satisfaction and self-actualization.
- To develop and maintain a quality of work life.
- To be ethically and socially responsive to the needs of society.
- To develop overall personality of each employee in its multidimensional aspect.
- To enhance employee's capabilities to perform the present job.
- To equip the employees with precision and clarity in transaction of business.
- To inculcate the sense of team spirit, team work and inter-team collaboration.

HR ACTIVITIES / FUNCTIONS OF HRM:

The functions of HRM broadly classified into two categories.

1. Managerial Functions

2. Operative Functions



MANAGERIAL FUNCTIONS:

Managerial Functions of personal management involved planning, organizing, directing and controlling. All these functions influence the operative functions.

- **Planning:** It is a pre-determined course of action. It involves in planning of human resources, requirements, recruitment, selection, training etc. It also involves forecasting of personal needs, changing values, attitudes and behavior of employees and their impact on the organization.
- **Organizing:** In the words of J.C.Massie, an organization is a “structure and a process by which a co-operative group of human beings allocates its task among its members, identifies relationships and integrates its activities towards a common objectives”. Thus an organization establishes relationships among the employees so that they can collectively contribute the attainment of company goals.
- **Directing:** The next logical function after completing planning and organizing is the executive of the plan. The basic function of personal management at any level is motivating, commanding, leading and activating people. The willing and effective co-operation of employees for the attainment of organizational goals is possible through proper direction. Tapping the maximum potentialities of the people is possible through motivation and command.
- **Controlling:** It is also involves checking verifying and comparing of the actual with the plans, identification of deviations if any and correcting of identified deviations. Thus, action and operation are adjusted to pre-determined plans and standards through control. Auditing training programmes, analyzing labour turnover records, directing morale

surveys, conducting separate interviews are some of the means for controlling the personnel management functions and making it effective.

OPERATIVE FUNCTIONS:

The operative functions of human resource management are related to specific activities of personal management, employment development, management and relations.

Employment: It is the first operative function of HRM .Employment is concerned with securing and employing the people possessing the necessary to achieve the organizational objectives. It covers the functions such as job analysis, human resource planning, recruitment, selection, placement, induction and internal mobility.

Job Analysis: It is the process of study and collection of information relating to the operations and responsibilities of a specific job. It includes like collection of data, facts and ideas, relating to various aspects of jobs including men, machine and material.

Human Resource Planning : A estimation of present and future requirements of human resource, taking the steps for how to mould, change and develop the strength of exiting employees in the organization.

Recruitment: It is the process of searching for prospective employees and stimulating them to apply for jobs in an organization. Striking a balance between internal and external sources.

Selection: It is the process of ascertaining the qualifications, experiences, skills, knowledge of an applicant with a view to approaching his / her suitability to a job.

Placement: It is the process of assigning the selected candidates with the most suitable job in terms of job requirements. It is matching of employee specifications with job requirements.

Induction & Orientation: Induction and orientation are the techniques by which a new employee is rehabilitated in the changed surrounding and introduced to the practices, policies, purposes and people etc. explain about company shares, position and with whom he has to work, introduce the superiors and subordinates.

Human Resource Development: It is the process of impressing, moulding and changing the skills, knowledge, creative ability, aptitude, attitude, values, commitment etc based on present and future job and organizational requirements.

Performance appraisal: It is a systematic evaluation of individuals with respect to their performance on the job and their potential for development. Developing policies, procedures and techniques.

Training: Identification of training needs of the individuals and the company and develop suitable training programmes.

Management development: The process of designing and conducting suitable executive development programmes to develop the managerial and human relations skill of employees.

Career planning & development: It is the planning of one's career and implementation of one's career and implementation of career plans by means of education, training, job search and acquisition of work experiences.

Internal mobility: It includes vertical and horizontal movement of an employee within an organization. It consists of transfer, promotion, demotion.

Promotion: It means upward reassignment given to an employee in the organizations to occupy higher position, which commands better status, and pay keeping in view the human resources of the employees and the job requirements.

Demotions: It deals with downward reassignment to an employee in the organizations.

Management: It is the process of providing adequate, equitable and fair remuneration to the employees. It includes job evaluation, wage and salary administration, incentives, bonus, fringe benefits, social security measures etc.

- **Job evaluation:** Select suitable job evaluation techniques classify the jobs into various categories. It is a process of calculate relative worth of jobs.
- **Wage and salary administration:** This is the process of developing and operating a suitable wage and salary programmes.
- **Incentive:** Formulating, administering and reviewing the schemes of financial incentives in addition to regular payment of wage and salary.
- **Bonus:** It includes payment of statutory bonus according to the payment of bonus act, 1965 and its latest amendments.
- **Fringe benefits:** Management provides these benefits to motivate the employees and to meet their life's contingencies.

Exp: housing facilities, education to employee child, canteen, recreational facilities, credit, medical, maternity, and company stores.

- **Social security measures:**
 - Workmen's management to those who involve in accidents
 - Maternity benefits to women.
 - Sickness benefits and medical benefits.
 - Retirements benefits like provident fund, pension, and gratuity.

Human Relations: It is the process of interaction among human beings. A human relation is an area of management in integrating people into work situations in a way that motivates them

to work together productively, co-operate and with economic, psychological and social satisfaction.

- Motivating the employees.
- Develop leadership, communication skills.
- Boosting employee morale.
- Redressing employee grievances.
- Provide comfortable work environment.
- Counseling the employees in solving their personal, family, monotony, boredom and industrial accidents.

Industrial relations: It refers to the study of relations among employees, employer, government and trade unions.

Industrial relations includes

- Indian labour market.
- Trade unionism
- Industrial conflicts
- Collective bargaining.
- Workers participation in management.

Recent trends in HRM: HRM has been advancing at a fast rate. Recent trends include Quality of work life, Total quality in HR, HR accounting, audit research, recent techniques of HRM. So that managerial and operative functions are the key elements in the HRM.

INTRODUCTION ABOUT MARKETING

Marketing is everywhere. Formally or informally, people and organizations engage in a vast number of activities that could be called marketing. Good marketing has become an increasingly vital ingredient for business success. And marketing affects our day-to-day lives. It is embedded in everything we do – from the clothes we wear, to the web sites we click on, to the ads we see.

Good marketing is not an accident but a result of careful planning and execution. Marketing is both an art and a science. There is constant tension between the formulated side of marketing and the creative side.

What is Marketing?

Marketing deals with **identifying and meeting human and social needs**. One of the shortest definitions of marketing is “Meeting needs profitably”. For Example:

- Gillette launched its Mach III razor.

- Toyota launched Lexus automobile.

The manufacturers were very busy with orders because they had designed the right product based on careful marketing home work.

DEFINITION:

“Marketing is an organizational function and a set of processes for creating, communicating and delivering value to customers and for managing customer relationships in ways that benefit the organization and its stake holders.”

-----American Marketing Association

“Marketing is a process of discovering and translating consumer needs, wants into products & services creating demand and expanding it.”

-----M.L. Hanson

“Marketing is analysis, planning, implementation and control to bring desire exchanges with the target buyers for personal and mutual gain.”

----- Philip Kotler

Which are to be marketed?

Marketing people are involved in marketing 10 types of entities:

- Goods: Food products, Cars, Refrigerators, TVs...s
- Services: Accountants, Bankers, Lawyers, Engineers, Doctors, Software Programmers...
- Events: Trade shows, Artistic performances, company anniversaries, Global events like Olympics, World Cup.....
- Experiences: Spending a week at a baseball camp playing with some retired greats, paying to conduct Chicago Symphony Orchestra for 5 minutes.....
- Persons: Celebrity marketing like Artists, Musicians, CEO's, Physicians.
- Places: Cities, States, Regions, and whole nations compete actively to attract tourists, factories, company headquarters and new residents.
- Properties: Properties are intangible rights of ownership of either real or financial property. Real estates, Investment companies, banks are involved in marketing securities.
- Organizations: Organizations actively work for a strong, favorable and unique image in the minds of the target publics. Companies spend money on corporate identity ads.
- Eg: Airtel – Express yourself
- Idea – an idea can change your life
- Information: Encyclopedias and most notification books market information. Institutions, Magazines....

- Ideas: Products & Services are platforms for delivering some idea (Benefit).
- Eg: Friends don't let friends drive drunk.
- A mind is a terrible thing to waste.

IMPORTANCE OF MARKETING

Marketing has acquired an important place for the economic development of the whole country. It has also become a necessity for attaining the object of social welfare. As a result of it, marketing is considered to be the most important activity in a business enterprise while at the early stage of the development it was considered to be the last activity. For convenience the importance of marketing may be explained as under:

Importance of the Marketing to the Society:

Importance of marketing to the society can be explained as under:

- **Delivery of Standard of living to the society:** Main liability of marketing is to produce goods and services for the society according to their needs and tastes at reasonable price. Marketing discovers needs and wants of the society, produces the goods and services according to these needs, creates demand for these goods and services, encourages customers to use them, and thus, improves the standard of living of the society.
- **Increasing employment opportunities:** Employment opportunities are directly affected by the development of marketing. Successful operation of marketing activities requires the services of different enterprises and organization such as wholesalers, retailers, transportation, storage, finance, insurance and advertising. These services provide employment to a large number of persons.
- **Protection against business slump:** Successful operation of marketing activities creates, maintains, and increases the demand for goods and services in the society. It results in the increased level of production and it increases the scope and area of marketing. This increase, in turn, increases the national income which is beneficial to the whole society.

Importance of marketing to the Company:

Marketing is considered to be the most important activity of all the business activities. It has become a necessity for the successful operation of all other business activities.

Peter F. Drucker has rightly said, "Marketing is the business." All the business activities are directed on the basis of marketing activities.

- **Helpful in business planning and decision making:** It is very risky to take the decision in respect of production only on the basis of production capacity of an enterprise, especially in the light of increasing competition and changing circumstances. Therefore, it becomes

necessary to decide what can be sold before deciding what can be produced. It is necessary to decide what quantity of a particular product can be sold in the market and what measures would be applied for getting loyalty of the customers to the product. Unless and until these key decisions are taken, it is not practical to take the decision regarding production, purchase, finance, like of product, type of product and quantity of production. Marketing is very helpful in taking such decisions.

- **Increase in the profit:** Main object of every company is to earn the maximum profits by the successful operation of its activities. Maximization of profits can be possible only through the successful operation of the activities of the marketing department and not through the production or finance department.
- **Helpful in communication between society and business:** Marketing is an effective media of communication between society and company.

Importance of Marketing in Developed Economy:

In all the developed countries of the world, marketing is considered to be the key of economic activity for industrial growth and expansion. Really speaking, developed countries are in greater need of efficient marketing than underdeveloped countries because in a developed country, generally, the production is carried on at very large scale through the use of latest technology and equipments. In these countries, the production is much more than the demands. Therefore, product diversification takes place and a stiff competition is found in the market. It requires the marketing system to be much more effective so that the produced goods and services can be sold.

Importance of Marketing in the Underdeveloped or Developing Economy

Marketing has a vital role to play in the development of an underdeveloped country. A rapid development of an underdeveloped country is possible only through the modern techniques of marketing. Importance of marketing goes on increasing in these countries with every increase in industrialization and urbanization because marketing is an important tool for producing the goods and services at large scale and for selling this production successfully in the market.

Importance of Marketing in the Indian Economy

Indian economy is a developing economy. During recent years, the functions of marketing in India have undergone tremendous changes. It is being recognized as a profession based on systematic part of knowledge. These changes have increased the liabilities of

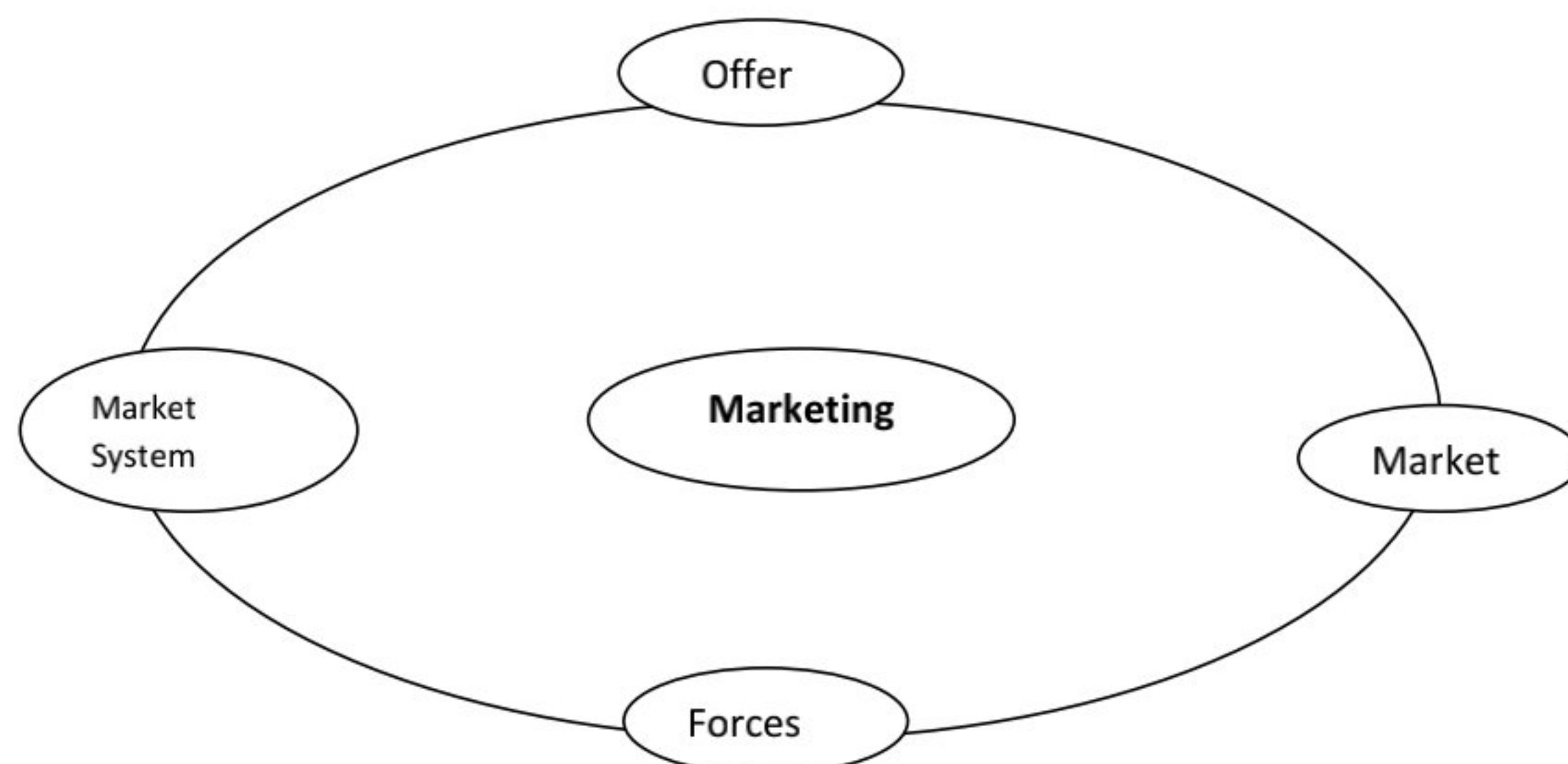
marketing managers these days. This all has resulted in many important achievements in India such as:

- Increases in employment opportunities.
- Balanced growth of the country.
- Increase in Per Capita Income of the country.
- Increase in the sale of the goods.
- Increase in profits.
- Development of the means of communication.
- Development of the means of transportation.
- Development of means of warehousing.
- Development of banking and insurance industries.
- Development of packaging industries.
- Development of new means of finance.
- Expansion in the scope and area of marketing.
- Improvement in the Standard of living.
- Industrial Progress.
- Maximum utilization of the available resources.

The importance of marketing discovered that continued success required setting d managing a capable marketing department.

SCOPE OF MARKETING

Marketing is a managerial function for identifying and satisfying customers. To know the scope it is necessary to know the components.



The Offer: An Offer is a proposal by the seller to sell a product/property/may not be accepted by the buyer. The offer includes every phase to encourage or discourage his purchase. It also includes product/service and various conditions. It comprises what, when, who, why to/through whom the purchase is made.

The Market: The market is an aggregate of forces or conditions within which buyers and sellers make decisions, which results in transfer of goods or services. It is a place where there is an exchange process across the market is equal to group of sellers and buyers in an area.

The System: It is concerned with the flow of goods & services from the point of production to the point of consumption. It is a systematic arrangement of functions of marketing to make goods, the selection of channels of distribution, nature of market segmentation in the system which enables creation of time utility and place utility.

The Forces: The environment forces contribute to marketing network. Demand, Supply, Competition, Status, Government rules, consumer goods & market conditions are the various forces which act upon marketing.

MARKETING MIX

One of the major objectives of organization is to become the market leader. This applies not only to companies, but even to non-profit making organizations like Hospitals, Educational Institutions.....etc; To be able to assemble their marketing offer called marketing mix, in a way they give the competitive edge. This concept of Marketing Mix involves a careful choice of organization. Thus it is the 4 P's of Marketing:

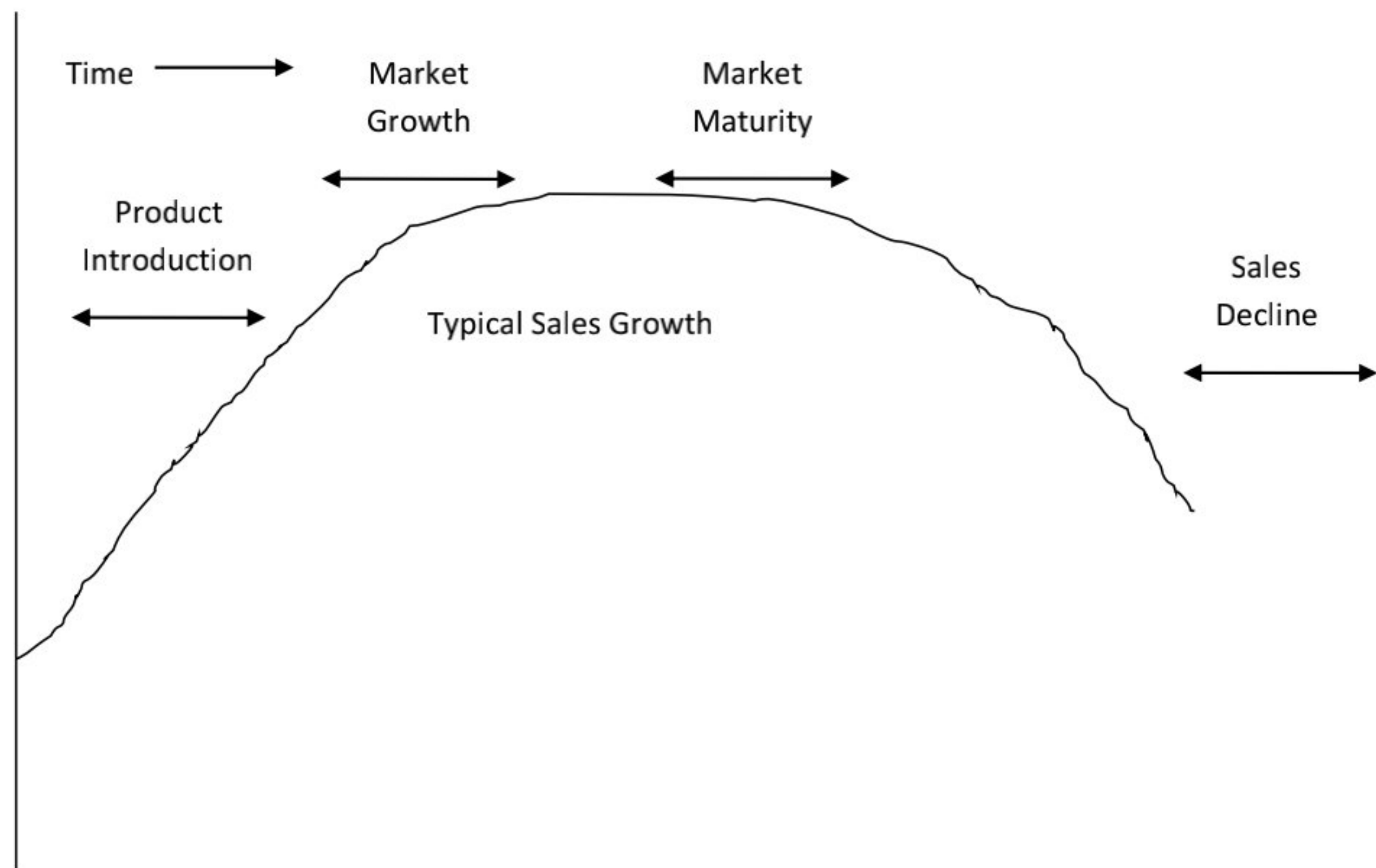
- Product
- Price
- Place
- Promotion

The Recent advancements to the increase in the Service Industry are:

- Process
- Public Relations
- Physical Environment
- People

PRODUCT LIFE CYCLE MANAGEMENT

Innovative and imitative products require different kinds of marketing strategies. Imitative new products have to overcome the existing competition to establish them in the market. For innovative products, prospective and not the present competition is a challenge.



Product Life Cycle Management

- **Introduction Stage:**

The ease of introducing a product depends on the degree of its novelty, improvements over the existing products, distinctiveness and other factors. Innovative products can be introduced in the market with ease because there is no competition to be broken. But for the imitative products, it is difficult even to enter the market under competitive conditions. With the respect to promotion strategy, for truly innovative products the main objective is primary demand creation, whereas it is secondary demand for imitative products.

- **Growth Stage / Market Acceptance Stage:**

Generally in growth stage, the products get the market acceptance. Here sales increase rather at a high price rate. Profits also increase comparatively. The attractive profit makes the competitors to enter with their own version of the product generally with the improved features. Imitative products, which enter the growth stage should try to counter the marketing efforts of the existing marketers and at the same time develop a good image and a competitive edge by capitalizing on the weakness of the existing products. The intensity of competition will also differ in this stage for innovative and imitative products.

- **Maturity and Saturation Stage:**

Once the product passes through the growth or market acceptance stage in due course, it enters the maturity stage followed by saturation. The former is characterized by the increase in sales but at a low rate and the latter by stagnation in sales. The maturity stage is characterized

by increasing sales and profit, but the rate of increase is less than the growth stage. The reduced growth rate is certainly due to the imminent competition in the market. Here one should not forget the innovative products have to contend with already existing products. Moreover, there may be a drop-out of the product at this stage if actual sales fall below the break-even levels. This may be due to early lifecycle or the introduction emerging imitation of innovative products that have low level of consumer acceptance.

▪ **Decline Stage:**

When the competing products establish their firm footing and consolidate their position in the market, the earlier entrants to the market fall prey to the clutches of decline. In this stage the competitive strategies of promotion, re-pricing and repositioning are warranted to inject a new lease of life to the product.

Channels of Distribution:

A Channel is a type of social system in which each member is expected to fulfill certain roles and perform certain functions. Distribution channel is nothing but which moves the goods or services from the manufacturer to the ultimate consumers in a perfect condition.

A marketing channel is the series of inter dependent marketing institutions that facilitate transfer of title to a product as it moves from the producer to the ultimate consumer or industrial user. The channels bring the suppliers and the buyers together.

Types of Channels:

The various types of channels generally used are:

- Whole sellers
- Retailers
- Distributors
- Logistics
- Ware Housing
- Franchise

Importance of Channels of Distribution:

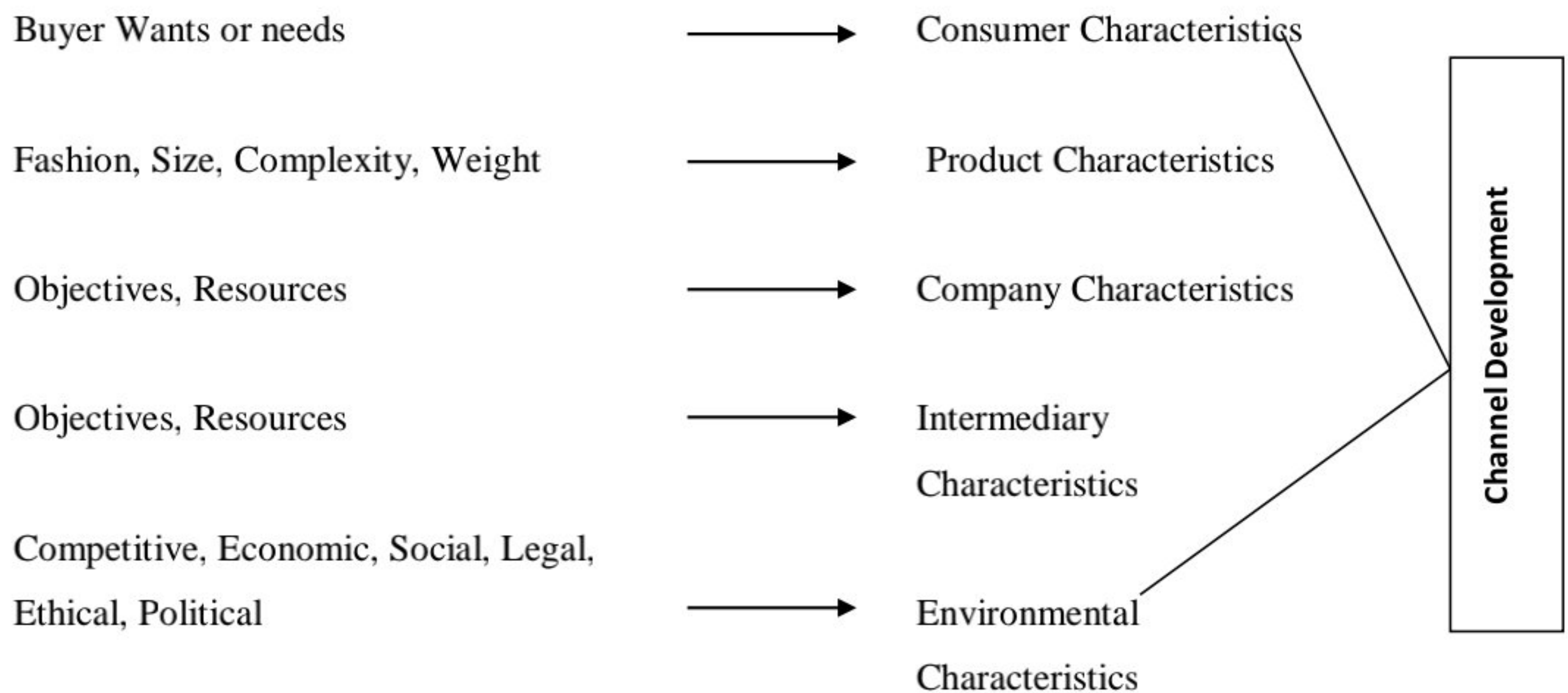
The Importance of Channels of Distribution is:

- ◆ Place Utility
- ◆ Time Utility
- ◆ Creates Convenience value

- ❖ Manufacturer will be eased with storage problem
- ❖ Helps in promoting goods
- ❖ Financial help
- ❖ Creates Possession Utility

Channel Design:

Good channel design should proceed with a clarification of channel objectives, alternatives and likely payoffs. The objectives are contained by the particular characteristics of customers, products, middlemen, competitors and environment.



Process of Designing Distribution Channels

Functions of a Distribution Channels:

The main function of a distribution channel is to provide a link between production and consumption. Organisations that form any particular distribution channel perform many key functions:

1. Information:

Gathering and distributing market research and intelligence - important for marketing planning

2. Promotion:

Developing and spreading communications about offers

3. Contact:

Finding and communicating with prospective buyers

4. Negotiation:

Reaching agreement on price and other terms of the offer

5. Physical distribution:

Transporting and storing goods

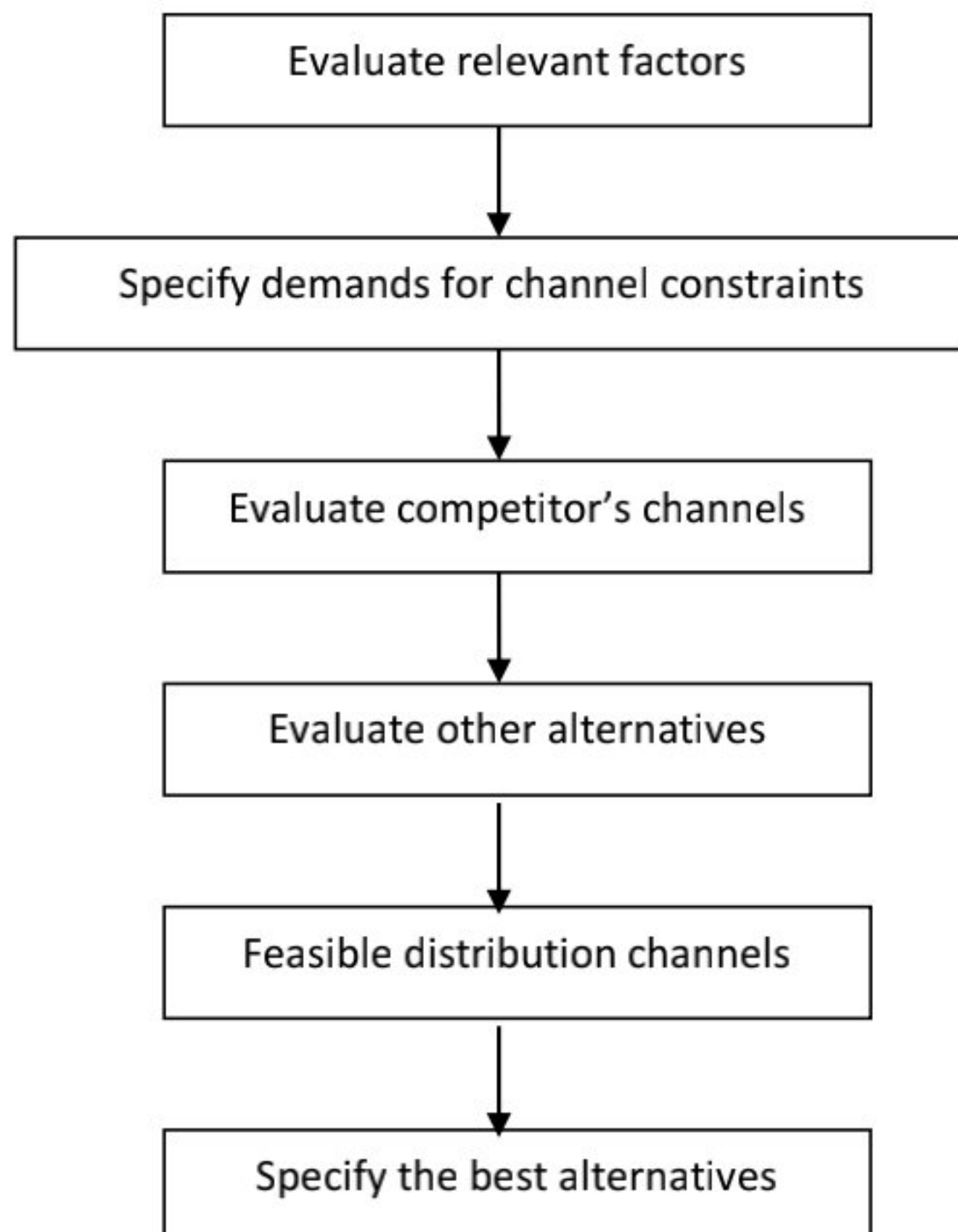
6. Risk taking:

Assuming some commercial risks by operating the channel (e.g. holding stock)

Factors influencing Channel Development

After the basic design of the channel is determined, the firm has to select particular firms to work with or find business firms to work with or find business firms willing to work with it. It has to supplement the motivations provided to channel members through the trade relations mix by special incentives and supervision.

Designing Distribution Channels:



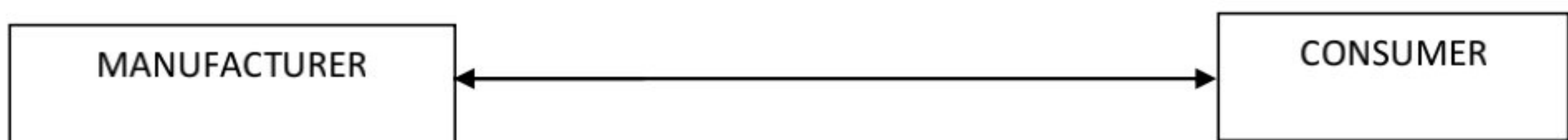
Types of Channels of Distribution

A Distribution Channel is the method a company uses to get its products into the marketplace for consumer use. The traditional channel goes from supplier, manufacturer, distributor, wholesaler and retailer. Two types of distribution channels exist: indirect and direct.

1. Direct Channel:

A direct distribution channel is where a company sells its products direct to consumers. While direct channels were not popular many years ago, the Internet has greatly increased the use of direct channels. Additionally, companies needing to cut costs may use direct channels to avoid middlemen markups on their products.

Eg:



2. Indirect Channel:

The indirect channel is used by companies who do not sell their goods directly to consumers. Suppliers and manufacturers typically use indirect channels because they exist early in the supply chain. Depending on the industry and product, direct distribution channels have become more prevalent because of the Internet.

Indirect-marketing channels include the following levels.

Channel-1:

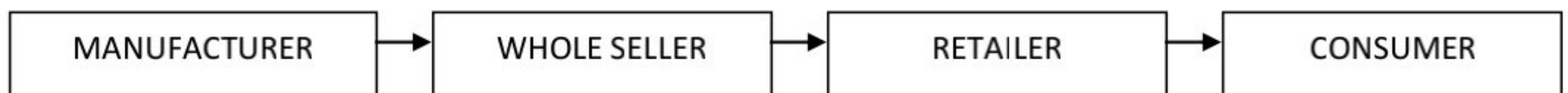
Channel 1 contains one intermediary. In consumer markets, this is typically a retailer. The consumer electrical goods market in the UK is typical of this arrangement whereby producers such as Sony, Panasonic, Canon etc. sell their goods directly to large retailers such as Comet, Dixons and Currys which then sell the goods to the final consumers.

Eg:

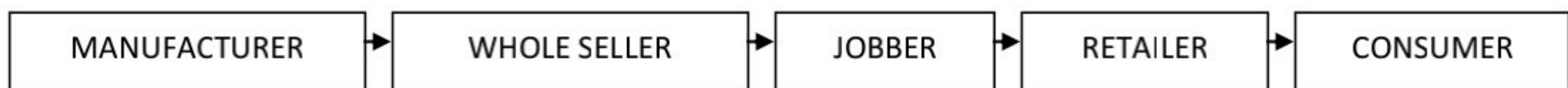
**Channel-2:**

Channel 2 contains two intermediary levels - a wholesaler and a retailer. A wholesaler typically buys and stores large quantities of several producers' goods and then breaks into the bulk deliveries to supply retailers with smaller quantities. For small retailers with limited order quantities, the use of wholesalers makes economic sense. This arrangement tends to work best where the retail channel is fragmented - i.e. not dominated by a small number of large, powerful retailers who have an incentive to cut out the wholesaler. A good example of this channel arrangement in the UK is the distribution of drugs.

Eg:

**Channel-3:**

Channel 3 contains three intermediaries between manufacturer and consumer.



Unit- 4

Project management is the practice of initiating, planning, executing, controlling, and closing the work of a team to achieve specific goals and meet specific success criteria at the specified

time. A project is a temporary endeavor designed to produce a unique product, service or result with a defined beginning and end (usually time-constrained, and often constrained by funding or staffing) undertaken to meet unique goals and objectives, typically to bring about beneficial change or added value.

The **program (or project) evaluation and review technique**, commonly abbreviated **PERT**, is a statistical tool, used in project management, which was designed to analyze and represent the tasks involved in completing a given project.

First developed by the United States Navy in the 1950s, it is commonly used in conjunction with the critical path method (**CPM**).

Project Evaluation and Review Techniques is commonly abbreviated to PERT. PERT is a method of analyzing the tasks involved in completing a given project, especially the time needed to complete each task, and to identify the minimum time needed to complete the total project. It incorporates uncertainty by making it possible to schedule a project while not knowing precisely the details and durations of all the activities. It is more of an event-oriented technique rather than start- and completion-oriented, and is used more in projects where time is the major factor rather than cost. It is applied to very large-scale, one-time, complex, non-routine infrastructure and Research and Development projects.

PERT

PERT is used for projects in which activity times are unknown. For example, take a research and development project (R&D). In an R&D project, the amount of time to complete a given task is unpredictable. In such a case, PERT is the best choice, since it allows planners to allocate three estimates for completion times – the most likely, the most optimistic and the most pessimistic.

CPM

The activities involved in a construction project, on the other hand, are much more predictable, and may not need three estimated completion times. If this is the case, CPM may be more appropriate, since unlike PERT, CPM also allows for planners to make trade-offs between the cost of the project and the amount of time needed to complete it.

The program evaluation and review technique (PERT) and the critical path method (CPM) are project management techniques used to coordinate activities that contribute to the completion of a complex project. While they are similar, there are key differences relating to the amount of time each technique allocates to each task.

Key Differences Between PERT and CPM

The most important differences between PERT and CPM are provided below:

1. PERT is a project management technique, whereby planning, scheduling, organising, coordinating and controlling uncertain activities are done. CPM is a statistical technique of project management in which planning, scheduling, organising, coordination and control of well-defined activities take place.
2. PERT is a technique of planning and control of time. Unlike CPM, which is a method to control costs and time.
3. While PERT is evolved as a research and development project, CPM evolved as a construction project.
4. PERT is set according to events while CPM is aligned towards activities.
5. A deterministic model is used in CPM. Conversely, PERT uses a probabilistic model.
6. There are three times estimates in PERT, i.e. optimistic time (t_o), most likely time t_m , pessimistic time (t_p). On the other hand, there is only one estimate in CPM.
7. PERT technique is best suited for a high precision time estimate, whereas CPM is appropriate for a reasonable time estimate.
8. PERT deals with unpredictable activities, but CPM deals with predictable activities.
9. PERT is used where the nature of the job is non-repetitive. In contrast to, CPM involves the job of repetitive nature.
10. There is a demarcation between critical and non-critical activities in CPM, which is not in the case of PERT.
11. PERT is best for research and development projects, but CPM is for non-research projects like construction projects.
12. Crashing is a compression technique applied to CPM, to shorten the project duration, along with the least additional cost. The crashing concept is not applicable to PERT.

Content: PERT Vs CPM

Comparison Chart

BASIS FOR COMPARISON	PERT	CPM
Meaning	PERT is a project management technique, used to manage uncertain activities of a project.	CPM is a statistical technique of project management that manages well defined activities of a project.

What is it?	A technique of planning and control of time.	A method to control cost and time.
Orientation	Event-oriented	Activity-oriented
Evolution	Evolved as Research & Development project	Evolved as Construction project
Model	Probabilistic Model	Deterministic Model
Focuses on	Time	Time-cost trade-off
Estimates	Three time estimates	One time estimate
Appropriate for	High precision time estimate	Reasonable time estimate
Management of	Unpredictable Activities	Predictable activities
Nature of jobs	Non-repetitive nature	Repetitive nature
Critical and Non-critical activities	No differentiation	Differentiated
Suitable for	Research and Development Project	Non-research projects like civil construction, ship building etc.
Crashing concept	Not Applicable	Applicable

UNIT – 5

STRATEGIC MANAGEMENT

Strategic Management involves the formulation and implementation of the major goals and initiatives taken by an organization's top management on behalf of owners, based on

consideration of resources and an assessment of the internal and external environments in which the organization operates.

VISION STATEMENT

A vision statement is a company's road map, indicating both what the company wants to become and guiding transformational initiatives by setting a defined direction for the company's growth. Vision statements undergo minimal revisions during the life of a business, unlike operational goals which may be updated from year-to-year. Vision statements can range in length from short sentences to multiple pages. Vision statements are also formally written and referenced in company documents rather than, for example, general principles informally articulated by senior management. A vision statement is "An aspirational description of what an organisation would like to achieve or accomplish in the mid-term or long-term future. It is intended to serve as a clear guide for choosing current and future courses of action."

MISSION STATEMENT

A consensus does not exist on the characteristics of a "good" or "bad" vision statement. Commonly cited traits include: A **mission statement** is a short statement of an organization's purpose, identifying the scope of its operations: what kind of product or service it provides, its primary customers or market, and its geographical region of operation. It may include a short statement of such fundamental matters as the organization's values or philosophies, a business's main competitive advantages, or a desired future state—the "vision".

A mission is not simply a description of an organization by an external party, but an expression, made by its leaders, of their desires and intent for the organization. The purpose of a mission statement is to focus and direct the organization itself. It communicates primarily to the people who make up the organization—its members or employees—giving them a shared understanding of the organization's intended direction. Organizations normally do not change their mission statements over time, since they define their continuous, ongoing purpose and focus.

DEFINITION

According to Chris Bart, professor of strategy and governance at McMaster University,^[5] a commercial mission statement consists of three essential components:^{[6][not in citation given]}

1. Key market: the target audience
2. Contribution: the product or service

3. Distinction: what makes the product unique or why the audience should buy it over another

GOAL

A **goal** is an idea of the future or desired result that a person or a group of people envisions, plans and commits to achieve.^[1] People endeavor to reach goals within a finite time by setting deadlines.

A goal is roughly similar to a purpose or aim, the anticipated result which guides reaction, or an end, which is an object, either a physical object or an abstract object, that has intrinsic value. According to Locke and Latham, goals affect performance in the following ways: goals direct attention and effort toward goal-relevant activities,

1. difficult goals lead to greater effort,
2. goals increase persistence, with difficult goals prolonging effort, and
3. goals indirectly lead to arousal, and to discovery and use of task-relevant knowledge and strategies.

SWOT Analysis (or **SWOT matrix**) is a strategic planning technique used to help a person or organization identify the *Strengths*, *Weaknesses*, *Opportunities*, and *Threats* related to business competition or project planning.^[1] It is intended to specify the objectives of the business venture or project and identify the internal and external factors that are favorable and unfavorable to achieving those objectives. Users of a SWOT analysis often ask and answer questions to generate meaningful information for each category to make the tool useful and identify their competitive advantage.

Strengths and Weakness are frequently internally-related, while Opportunities and Threats commonly focus on environmental placement.

- Strengths: characteristics of the business or project that give it an advantage over others
- Weaknesses: characteristics of the business that place the business or project at a disadvantage relative to others
- Opportunities: elements in the environment that the business or project could exploit to its advantage
- Threats: elements in the environment that could cause trouble for the business or project

The degree to which the internal environment of the firm matches with the external environment is expressed by the concept of strategic fit. Identification of SWOTs is important because they can inform later steps in planning to achieve the objective. First, decision-makers should consider whether the objective is attainable, given the SWOTs. If the objective is *not* attainable, they must select a different objective and repeat the process.

Some authors credit SWOT to Albert Humphrey, who led a convention at the Stanford Research Institute (now SRI International) in the 1960s and 1970s using data from Fortune 500 companies. However, Humphrey himself did not claim the creation of SWOT, and the origins remain obscure.

- concise: able to be easily remembered and repeated
- clear: defines a prime goal
- Time horizon: defines a time horizon
- future-oriented: describes where the company is going rather than the current state
- stable: offers a long-term perspective and is unlikely to be impacted by market or technology changes
- challenging: not something that can be easily met and discarded
- abstract: general enough to encompass all of the organization's interests and strategic direction
- inspiring: motivates employees and is something that employees view as desirable

STEPS IN STRATEGY FORMULATION AND IMPLEMENTATION

The five stages of the process are goal-setting, analysis, strategy formation, strategy implementation and strategy monitoring.

1. Clarify Your Vision. The purpose of goal-setting is to clarify the vision for your business. ...
2. Gather and Analyze Information. ...
3. Formulate a Strategy. ...
4. Implement Your Strategy. ...
5. Evaluate and Control.

Strategy formulation refers to the process of choosing the most appropriate course of action for the realization of organizational goals and objectives and thereby achieving the organizational vision. **The process of strategy formulation basically involves six main steps.** Though these steps do not follow a rigid chronological order, however they are very rational and can be easily followed in this order.

1. **Setting Organizations' objectives** - The key component of any strategy statement is to set the long-term objectives of the organization. It is known that strategy is generally a medium for realization of organizational objectives. Objectives stress the state of being there whereas Strategy stresses upon the process of reaching there. Strategy includes both the fixation of objectives as well the medium to be used to realize those objectives. Thus,

strategy is a wider term which believes in the manner of deployment of resources so as to achieve the objectives.

While fixing the organizational objectives, it is essential that the factors which influence the selection of objectives must be analyzed before the selection of objectives. Once the objectives and the factors influencing strategic decisions have been determined, it is easy to take strategic decisions.

□ **Evaluating the Organizational Environment** - The next step is to evaluate the general economic and industrial environment in which the organization operates. This includes a review of the organizations competitive position. It is essential to conduct a qualitative and quantitative review of an organizations existing product line. The purpose of such a review is to make sure that the factors important for competitive success in the market can be discovered so that the management can identify their own strengths and weaknesses as well as their competitors' strengths and weaknesses.

After identifying its strengths and weaknesses, an organization must keep a track of competitors' moves and actions so as to discover probable opportunities of threats to its market or supply sources.

□ **Setting Quantitative Targets** - In this step, an organization must practically fix the quantitative target values for some of the organizational objectives. The idea behind this is to compare with long term customers, so as to evaluate the contribution that might be made by various product zones or operating departments.

□ **Aiming in context with the divisional plans** - In this step, the contributions made by each department or division or product category within the organization is identified and accordingly strategic planning is done for each sub-unit. This requires a careful analysis of macroeconomic trends.

□ **Performance Analysis** - Performance analysis includes discovering and analyzing the gap between the planned or desired performance. A critical evaluation of the organizations past performance, present condition and the desired future conditions must be done by the organization. This critical evaluation identifies the degree of gap that persists between the actual reality and the long-term aspirations of the organization. An attempt is made by the organization to estimate its probable future condition if the current trends persist.

□ **Choice of Strategy** - This is the ultimate step in Strategy Formulation. The best course of action is actually chosen after considering organizational goals, organizational strengths, potential and limitations as well as the external opportunities.

What Is Corporate Planning?

Corporate planning is a process that is used by businesses to map out a **course of action** to grow, **increase profits**, gain exposure, or strengthen brand identity. Corporate planning is a tool that successful business use to leverage their resources more wisely than their competitors.

Environmental Scanning

Environmental scanning is the process of gathering information about events and their relationships within an organization's internal and external environments. The basic purpose of environmental scanning is to help management determine the future direction of the organization.

The Environmental Scanning Committee is a valuable resource to management, allowing them to make decisions influenced from trended analysis of historical events to project future events. The committee also assists in creating action plans to address these upcoming events, reviewing action plans and appropriating resources for those plans, and putting management in contact with fellow staff members with the knowledge base to provide quality data for decision making.